

PPE including intangibles and right of use assets increased by 8% primarily at the Netherlands operations mainly on account of foreign exchange movement and due to acquisition of LAG – Velsen at UK operations on account of increase in capital work in progress and foreign exchange movement and at Tata Steel India on account of increase in capital work-in-progress mainly at Kalinganagar Phase-II and Ludhiana EAF, which was offset by depreciation and amortisation charge during the year.

## k) Inventories

(₹ crore)

|                                                           | FY2025-26     | FY2024-25     | Change (%) |
|-----------------------------------------------------------|---------------|---------------|------------|
| Finished and semi-finished goods including stock in Trade | 18,189        | 17,679        | 3          |
| Work-in-progress                                          | 6,621         | 5,436         | 22         |
| Raw materials                                             | 15,375        | 14,662        | 5          |
| Stores and spares                                         | 7,064         | 6,813         | 4          |
| <b>Total Inventories</b>                                  | <b>47,249</b> | <b>44,590</b> | <b>6</b>   |

(₹ crore)

|                                   | FY2025-26     | FY2024-25     | Change (%) |
|-----------------------------------|---------------|---------------|------------|
| Tata Steel (Standalone)           | 23,059        | 22,934        | 1          |
| Tata Steel UK Operations          | 5,089         | 5,095         | (0)        |
| Tata Steel Netherlands Operations | 15,262        | 13,047        | 17         |
| NINL                              | 916           | 881           | 4          |
| South East Asia                   | 1,118         | 1,106         | 1          |
| Others                            | 2,038         | 1,673         | 22         |
| Eliminations & Adjustments        | (233)         | (146)         | (60)       |
| <b>Inventories</b>                | <b>47,249</b> | <b>44,590</b> | <b>6</b>   |

Increased by 6% primarily at the Netherlands operations on account of exchange translation impact.

Increase in others is mainly on account of acquisition of Tata Steel Colors Private Ltd. and Brahmani River Pellets Private Ltd. partly offset by lower raw material inventory at Tata Steel Minerals Canada.

## l) Trade receivables

(₹ crore)

|                                   | FY2025-26    | FY2024-25    | Change (%) |
|-----------------------------------|--------------|--------------|------------|
| Tata Steel (Standalone)           | 1,632        | 1,566        | 4          |
| Tata Steel UK Operations          | 533          | 958          | (44)       |
| Tata Steel Netherlands Operations | 2,310        | 2,737        | (16)       |
| NINL                              | 1,281        | 88           | 1,356      |
| South East Asia                   | 1,117        | 1,118        | (0)        |
| Others                            | 9,544        | 6,742        | 42         |
| Eliminations & Adjustments        | (11,500)     | (7,949)      | (45)       |
| <b>Net trade receivables</b>      | <b>4,917</b> | <b>5,260</b> | <b>(7)</b> |

Decrease was primarily at the UK and the Netherlands operations due to securitisation of receivables. Increased at NINL mainly due to change in credit terms (eliminated on consolidation). Increase in Others was primarily due to acquisition of Tata Steel Colors Private Ltd. and Brahmani Rivers Pellets Private Ltd.

## m) Gross debt and Net debt

(₹ crore)

|                                                           | FY2025-26     | FY2024-25     | Change (%) |
|-----------------------------------------------------------|---------------|---------------|------------|
| Gross debt                                                | 92,382        | 94,801        | (3)        |
| Less: Cash and Bank balances (incl. Non-current balances) | 10,570        | 11,779        | (10)       |
| Less: Current investments                                 | 1,004         | 443           | 127        |
| Less: Foreign currency hedges against borrowings          | 664           | 149           | 343        |
| <b>Net debt</b>                                           | <b>80,144</b> | <b>82,430</b> | <b>(3)</b> |

Net debt was lower by ₹2,286 crore over previous year.

Gross Debt at ₹92,382 crore was lower by ₹2,419 crore as compared to the previous year. Decrease in Gross Debt was mainly due to net repayment of borrowings of ₹9,105 crore mainly at UK operations, at the Netherlands operations and at Tata Steel Minerals Canada offset by increase in debt at Tata Steel Standalone. This was partly offset by increase in rupee value of foreign currency bonds and loans due to adverse exchange movement and addition of new leases.

The decrease in Net Debt was in line with decrease in gross debt.

## n) Cash Flows

|                                                               | FY2025-26      | FY2024-25    | Change (%)   |
|---------------------------------------------------------------|----------------|--------------|--------------|
| Net Cash from/(used in) operating activities                  | 35,064         | 23,138       | 52           |
| Net Cash from/(used in) investing activities                  | (14,905)       | (13,799)     | (8)          |
| Net Cash from/(used in) financing activities                  | (21,387)       | (7,002)      | (205)        |
| <b>Net increase / (decrease) in cash and cash equivalents</b> | <b>(1,228)</b> | <b>2,337</b> | <b>(153)</b> |

**Net cash flow from/(used in) operating activities**

During the year under review, the net cash from operating activities was ₹35,064 crore as compared to ₹23,138 crore during the previous year. The cash inflow from operating profit before working capital changes and direct taxes during the current year was ₹34,219 crore as against ₹23,929 crore during the previous year reflecting increase in operating profits during the current year. Cash inflow from working capital changes during the current period was ₹5,442 crore primarily due to increase in current/non-current financial assets by ₹447 crore, increase in financial liabilities/provisions ₹4,599 crore and decrease in inventory by ₹1,290 crore. The payment of income taxes during current period was ₹4,597 crore as compared to ₹2,998 crore in previous period.

**Net cash flow from/(used in) investing activities**

During the year under review, the net cash outflow from investing activities was ₹14,905 crore as against an outflow of ₹13,799 crore during the previous year. The outflow during the year broadly represents capex of ₹14,559 crore primarily at India and at Europe and on account of acquisition of subsidiaries/undertakings ₹2,846 crore during the current period (previous year: 6 crore). Fixed/restricted deposits with banks placed during the year ₹1,147 crore (previous year ₹952 crore), net purchase of current investments ₹298 crore during the current period (previous year sale of: ₹531 crore) and purchase of non-current investment ₹255 crore during the current period (previous year: ₹393 crore). Further, cash inflow during the current period represents sale of capital assets ₹863 crore (previous year: ₹514 crore), sale of business undertakings ₹611 crore (previous year: ₹28 crore), Fixed/restricted deposits realised ₹1,090 crore (previous year: ₹467 crore), interest received ₹650 crore (previous year: ₹616 crore), grant received on acquisition of property, plant and equipment ₹533 crore (previous year: nil) and dividend income received ₹408 crore (previous year: ₹294 crore).

**Net cash flow from/(used in) financing activities**

During the year under review, net cash outflow from financing activities amounted to ₹21,387 crore as against outflow of ₹7,002 crore during the previous year. The net outflow primarily represents repayment of long-term borrowings ₹23,897 crore (previous year: ₹16,079 crore), interest paid ₹8,066 crore (previous year: ₹8,119 crore), dividend paid ₹4,490 crore (previous year: ₹4,489 crore) and payment of lease obligations ₹1,162 crore (previous year: ₹971 crore). Further, cash inflow during the current period represents proceeds from long-term borrowings ₹12,092 crore (previous year: ₹23,893 crore) and proceeds from short-term borrowings ₹3,861 crore (previous year repayment: ₹1,518 crore).

o) **Changes in Key Financial Ratios**

The change in the key financial ratios as compared to previous year is stated below:

|                                              | FY2025-26 | FY2024-25 | Change (%) |
|----------------------------------------------|-----------|-----------|------------|
| Inventory Turnover (days)                    | 73        | 80        | (8)        |
| Debtors Turnover (days)                      | 8         | 10        | (17)       |
| Current Ratio (Times)                        | 0.80      | 0.90      | (11)       |
| Interest Coverage Ratio <sup>1</sup> (Times) | 4.72      | 3.12      | 51         |
| Debt Equity (Times)                          | 0.99      | 1.07      | (8)        |
| Net Debt Equity (Times)                      | 0.82      | 0.90      | (8)        |
| EBITDA Margin <sup>2</sup> (%)               | 15.01     | 11.81     | 27         |
| Net Profit Margin <sup>3</sup> (%)           | 4.69      | 1.45      | 223        |
| Return of average Equity <sup>3</sup> (%)    | 11.16     | 3.45      | 223        |

<sup>1</sup> **Interest Coverage Ratio:** Increased primarily on account of increase in operating profits along with lower finance cost.

<sup>2</sup> **EBITDA Margin (%)**: Increased primarily on account of increase in operating profits for the year as compared to previous year.

<sup>3</sup> **Net Profit Margin and Return on average equity:** Increased primarily on account of higher profit during the year mainly attributable to higher operating profits and lower net finance charge partly offset by higher exceptional charge as compared to previous year.

**VII. Corporate Finance****Central Banks and Monetary Policy:**

FY2025-26 was expected to see supportive global financial conditions, driven by a gradual moderation in inflation. The IMF's January projections reflected this outlook, with global inflation expected to ease from 4.1% in 2025 to 3.8% in 2026, and 3.4% in 2027, indicating an accommodative monetary environment. This baseline has since been challenged by escalating geopolitical tensions in the Middle East, which triggered a sharp energy shock following the closure of the Strait of Hormuz, a critical transit route for nearly 20% of global oil shipments. As

a result, global inflation is now forecast to rise to 4.4% in 2026, before easing to 3.7% in 2027, assuming the conflict does not protract. These developments have heightened inflationary risks and increased uncertainty around the pace of monetary policy normalisation, necessitating closer monitoring and potential recalibration of central bank policy measures globally.

### Key Benchmark Policy Rates – FY2025-26

| Central Bank          | Rate at Apr 2025 | Rate at Mar 2026 | Policy Outlook                                                              |
|-----------------------|------------------|------------------|-----------------------------------------------------------------------------|
| US Federal Reserve    | 4.25 – 4.50%     | 3.50 – 3.75%     | Data-dependent hold; tariff & energy risks monitored                        |
| European Central Bank | 2.50%            | 2.00%            | Extended pause; energy prices on watch                                      |
| Bank of England       | 4.50%            | 3.75%            | Limited easing room; Elevated inflation, driven by the Middle East conflict |
| Bank of Japan         | 0.50%            | 0.75%            | Continued normalisation                                                     |
| Reserve Bank of India | 6.25%            | 5.25%            | Neutral stance; No preset course                                            |
| PBOC (China)          | 3.10%            | 3.00%            | Moderately accommodative; continued stimulus                                |

### Advanced Economies

The US Federal Reserve implemented three 25 bps rate cuts during FY2025-26, reducing the federal funds rate to 3.50% - 3.75%, before pausing at its January 2026 meeting. While headline CPI had eased to 2.4% in January, renewed geopolitical tensions in the Middle East disrupted supply chains, leading to a surge in oil prices and pushing inflation back up to 3.3% in March. This resurgence has increased uncertainty around earlier expectations that policy normalisation would stabilise labour market conditions and guide inflation sustainably toward the 2% target. Any further rate cut decisions will depend on the scope and duration of the Middle East conflict, expectations around AI led productivity gains, and the impact of renewed global trade tensions.

The European Central Bank (ECB) reduced its benchmark rate to 2.00% by mid-2025 and maintained an extended pause thereafter, with inflation returning to target ranges. However, performance across member states remained uneven: Germany continued to face weak industrial demand and elevated energy costs, although expansionary fiscal measures are expected to support a growth recovery, while France contended with rising fiscal pressures. More recently, a sharp increase in energy prices has raised concerns about pressure on consumer spending, prompting the ECB to closely monitor the macroeconomic outlook, particularly inflation risks, as it assesses potential policy adjustments in 2026.

In the United Kingdom, the Bank of England (BoE) cut its policy rate by 100 bps in 2025 to bring it down to 3.75% to support economic activity. Inflation eased from 3.8% to 3.4% by December 2025 but remained above the 2% target, limiting further monetary accommodation.

### Japan and China

Bank of Japan continued its normalisation journey, raising its policy rate to 0.75%; its highest in three decades as policymakers grew more confident in achieving sustainable inflation.

China maintained a moderately loose monetary policy, supported by interest rate cuts, and targeted fiscal measures to counter deflationary pressures. Growth remained uneven, with weak domestic demand, particularly in the housing sector continuing to lag, while strong exports provided key support. Export momentum strengthened as shipments were redirected from the United States toward other Asian markets and Europe, driving a record trade surplus in 2025.

### India

During the period from February 2025 to March 2026, the RBI reduced the repo rate by a cumulative 125 basis points, bringing it down to 5.25%. The easing cycle was supported by lower headline CPI falling in first half of FY2025-26 and strong GDP growth estimate of 7.6% in FY2025-26. At its last meeting, the RBI retained a neutral stance to support the transmission of past cuts, while acknowledging that the external backdrop had become less benign. The evolving conflict in the Middle East, higher crude prices, and the resulting uptick in global risk aversion along with related currency and financial-market movements have the potential to complicate policy choices for emerging markets. Against this backdrop, the RBI will calibrate its stance carefully, balancing renewed inflation risks against the possibility of expected growth moderation.

India remains Tata Steel's largest and fastest-growing market. The accommodative rate environment continues to support steel demand across infrastructure, construction, automotive, and consumer sectors. Concurrently, The Company's strategic transition toward rupee-denominated financing aligns borrowing costs more closely with domestic market conditions.

### Policy Outlook & Key Risks:

Ahead of the escalation in geopolitical tensions, monetary policy across advanced economies was broadly accommodative/neutral and data dependent, with central banks closely monitoring inflation and growth trends. Central banks across major economies adopted a wait and watch approach, keeping policy rates unchanged as they assessed evolving macroeconomic conditions and policy transmission. However, the intensification of the Iran related conflict in February 2026 caused supply chain disruptions, particularly in energy markets, leading to higher pressure on oil and other commodity prices. Brent crude rose above USD 100 per barrel, from around USD 70 earlier in the year, increasing inflation uncertainty and reducing the likelihood of near term rate cuts. These developments have added volatility to input costs and demand conditions, which the Company continues to monitor closely.

### Balance Sheet Management

Tata Steel follows a disciplined and dynamic capital allocation framework, balancing investments in India's capacity expansion, transition programmes in the UK and the Netherlands, shareholder returns, and continued deleveraging.

Despite sizable capex during FY2025-26, net debt declined to ₹80,144 crore, supported by robust operating cash flows. Net Debt to EBITDA improved to 2.3x from 3.2x in FY2024-25. Net debt declined from ₹82,430 crore in March 2025 to ₹80,144 crore in March 2026, as EBITDA generation and working capital release more than offset capex outflows.

### Debt Composition & Maturity Profile

During FY2025-26, the Company proactively refinanced financial obligations at competitive terms, capitalising on favourable credit markets and maintained investment-grade status. Tata Steel continued to repay overseas debt and progressively replaced foreign currency borrowings with Rupee-denominated instruments. This reduced exchange rate exposure and optimised the blended cost of debt. Tata Steel's debt maturity profile remains well-distributed, to avoid near-term concentration risk.

### Liquidity Position

Tata Steel closed FY2025-26 with cash and bank balances (including current investments) of ₹11,573 crore, supplemented by undrawn credit facilities of ₹33,664 crore, providing adequate

headroom for operational requirements, scheduled maturities, and ongoing capex. During the year, the Company broadened banking relationships through the onboarding of new lenders, further diversifying funding base.

### Working Capital Management

Proactive engagement with customers and suppliers on payment terms, combined with disciplined inventory management, reduced Company's inventory days from 80 days in FY2024-25 to 73 days in FY2025-26, contributing a net working capital cash inflow of ₹5,442 crore during the year.

### Growth & Acquisition Capital

FY2025-26 marked the successful completion of several organic growth initiatives, highlighted by the final stage ramp up of the 5 MTPA expansion at Kalinganagar, along with the commissioning of the 2.2 MTPA Cold Rolling Mill (CRM) complex and inauguration of the ~0.75 MTPA Electric Arc Furnace (EAF) facility at Ludhiana, Tata Steel's first scrap based steelmaking unit in India. These investments are expected to enhance free cash flow generation from FY2026-27 onward as volumes scale and the product mix shifts toward higher-value automotive and special grades.

On the other hand, inorganic initiatives included acquiring full ownership of Tata Steel Colors Private Ltd., a controlling stake in Thriveni Pellets Private Limited and acquiring full ownership in LAG Velsen B.V. (Vattenfall Power Plant). Together, these strengthen downstream integration, secure pellet availability, diversify raw-material sourcing and reduce structural working-capital intensity across cycles.

### Green Transition & Decarbonisation Capital

Tata Steel remains committed to achieving net-zero steelmaking by 2045. In India, the inauguration of the Ludhiana EAF plant marks the Company's first low-emission steelmaking route, supported by higher scrap utilisation and substitution of coal with biochar and natural gas in BOF operations.

Tata Steel continues to advance breakthrough technologies including HIsarna and EASyMelt, alongside expanded CCUS pilots in collaboration with leading R&D institutions. The Board has approved a 1 MTPA HIsarna demonstration plant in India - one of the most significant green-steel commitments globally.

Tata Steel UK's decarbonisation project is at an advanced stage with site demolition works largely completed, orders placed and construction work on track.

Tata Steel Netherlands' plans for a decarbonisation and environmental improvement project were documented under a non-binding Joint Letter of Intent with the Dutch Government and the local Province in September 2025. The joint letter of intent is an important step towards finalisation of the detailed agreement conditional upon on completion of conditions precedent on both sides, resolution of regulatory challenges and viability of the business case.

### Credit Ratings:

Tata Steel remains the only Indian steel producer with dual international investment-grade ratings from S&P Global Ratings and Moody's Investors Service, placing Company at par with India's sovereign rating.

### International Ratings

S&P affirmed Tata Steel's 'BBB' Stable rating in December 2025, noting that growth capex will temporarily weigh on leverage, but that higher India volumes and cost reductions are expected to restore metrics within 12–18 months. Moody's reaffirmed 'Baa3' Stable in July 2025, citing Company's vertically integrated Indian operations, structural improvement in European assets post the UK upstream transition, and prudent financial policy.

### Domestic Ratings

India Ratings reaffirmed Tata Steel's 'AAA / Stable' rating, making it the only Indian steel company rated AAA domestically; while CARE Ratings maintained 'AA+ / Stable', the highest among domestic steel peers. Both agencies cited Tata Steel's strong business risk profile, robust liquidity, and consistent deleveraging progress.

### Credit Rating Summary – FY2025-26

| Rating Agency             | Rating | Outlook | Key Remarks                                                                           |
|---------------------------|--------|---------|---------------------------------------------------------------------------------------|
| S&P Global Ratings        | BBB    | Stable  | Sovereign-level rating; metrics expected to strengthen                                |
| Moody's Investors Service | Baa3   | Stable  | Sovereign-level rating; Strong India operations; balanced growth and leverage profile |
| India Ratings & Research  | AAA    | Stable  | Only Indian steel company with AAA domestic rating                                    |
| CARE Ratings              | AA+    | Stable  | Highest among domestic steel peers                                                    |

## VIII. Risks and Concerns

Tata Steel operates in a dynamic global environment characterised by evolving regulatory and environmental

requirements, heightened geopolitical uncertainty, and rapid technological advancements. These factors pose material risks across the organisation's value chain. Tata Steel maintains a robust Enterprise Risk Management (ERM) framework to holistically assess and manage these exposures, supporting informed decision-making.

A robust governance structure has been developed across the organisation, in its journey towards Risk Intelligence, with a Risk Management Committee at the Board level and an Apex Risk Committee ('ARC') at Senior Management level, driving the ERM process across the Tata Steel Group.

Information regarding Key Risk facing Tata Steel and their mitigation strategies is given below:

### Financial Risk

Tata Steel's strategic objective is to scale its capacity in India sustainably, capitalising on the country's growth trajectory while progressively advancing downstream India expansion to reinforce long-term growth and competitiveness. Tata Steel UK is undergoing transition to economically and environmentally viable operations through the Electric Arc Furnace ('EAF') route, and TSN is also planning to undergo decarbonisation in the coming years by implementing its green steel production plan. The transition involves substantial upfront costs and potential decommissioning expenses.

As of March 31, 2026, Tata Steel had a net debt of ₹80,144 crore. The Company plans to manage its debt levels and fund its growth through internal accruals and external capital raising from banks and capital markets. However, the cost of borrowings remains sensitive to global and domestic financial market dynamics and prevailing interest rate environments, as well as Environmental, Social and Governance ('ESG') factors.

Fluctuations in commodity markets due to trade uncertainties, exacerbated by geopolitical instability, currency exchange rate volatility also significantly influences the cost of capital and overall financial performance.

### Mitigation Strategies

Tata Steel's mitigation strategies centre on robust cash flow generation and working capital optimisation. Continuous cost improvement programmes and portfolio restructuring are implemented across geographies to enhance operational efficiency. Tata Steel prioritises projects with high return on invested capital and short payback periods. The Company continues to focus on optimising its capital structure,

including onshoring foreign currency debt where appropriate. The Company is actively diversifying its funding sources, including exploring government grants for green initiatives, accessing diverse capital pools, and pursuing longer-term debt with flexible terms.

Tata Steel has also implemented the concept of 'One Treasury', which efficiently manages treasury operations for the entire Tata Steel Group including its subsidiaries. This comprehensive approach, combined with skillful management of cash flows, currencies, interest rate and commodity hedging, delivers better financial stability in a dynamic market environment. The Company continues to strengthen margin resilience through disciplined capital allocation to improve product mix and operational excellence across its Indian operations.

To address ESG-related financial risks, the Company is committed to collaborating with international partners and bodies like the Task Force on Climate-Related Financial Disclosures (TCFD) to enhance ESG disclosures, meet evolving standards, and establish a robust and sustainable financing framework. The Company actively engages with investors on the ongoing and planned initiatives to green its operations.

### Macroeconomic and Market risks

In FY2025-26, the global economy operated in a challenging environment shaped by persistent geopolitical tensions and heightened trade policy risks. Ongoing conflicts, particularly in the Middle East, contributed to volatility in energy and freight markets, elevated supply-chain risks, and shifts in cross-border trade flows. A more restrictive trade regime, including wider use of tariff measures and the initial implementation of the European Union's Carbon Border Adjustment Mechanism (CBAM), further increased compliance complexity and costs for steel producers.

The global steel market continued to face pressure from structural imbalances, most notably the prolonged weakness in China's property sector, which constrained domestic steel consumption and resulted in elevated export volumes. Increased steel availability in seaborne markets intensified competition and weighed on benchmark prices across regions.

Global geopolitical instability including the escalating Middle East conflict and ongoing Russia-Ukraine tensions continues to impact energy markets, freight routes, and trade flows, contributing to volatility in steel prices and input costs.

In India, steel demand remained resilient in FY2025-26, supported by automotive production, government-led infrastructure spending, and steady construction activity, coupled with policy measures such as GST 2.0 that continued to strengthen formalisation, compliance, and supply-chain efficiency. However, domestic capacity additions increased supply and intensified competition, particularly in flat steel, where pricing was further impacted by competitively priced imports. Safeguard measures introduced from April 2025 helped moderate under-priced flat steel inflows, with import pressure easing and export opportunities improving through the year. In Long products, demand continued to be driven by infrastructure and urban development projects, although realisations were influenced by project execution timelines, regional demand phasing, and volatility in scrap and energy prices.

In Europe and the UK, prolonged weakness in end-use demand across construction, automotive and manufacturing sectors, coupled with elevated energy and carbon input costs, continued to weigh on operating leverage and price realisation. Especially in UK, these pressures were exacerbated by structural deficiencies in steel safeguard quota mechanisms, including misalignment of quota volumes with market demand, which led to continued high imports. Collectively, these factors impaired cost competitiveness and margin sustainability for Tata Steel's European operations, with quota-driven surges of lower-priced imports posing a particularly pronounced and recurring risk in the UK market until the introduction of quota changes and tariffs in line with the rest of the world in March 2026 by the UK Government.

In Thailand, billet imports rose significantly in 2025 to supply to the rerolling and electric furnace mills impacting domestic markets. Additionally, many induction furnace mills have an unfair cost advantage through lower pricing due to lower quality control and standards compliance, impacting TSTH competitiveness.

### Mitigation Strategies

To address these market dynamics in India, the Company has predominantly strengthened its focus on the domestic market by enhancing its product portfolio and deepening its participation across automotive, branded offerings, and value-accretive industrial products. This strategy focuses on differentiated products, localisation, deeper customer engagement and portfolio diversification across structurally resilient end user segment.

- › **Automotive Leadership:** Tata Steel continued to strengthen its leadership position by commissioning and scaling up new downstream facilities that are enabling localisation of high-value automotive steels. The Continuous Annealing Line (CAL) and Continuous Galvanising Line (CGL) at Kalinganagar expanded domestic availability of advanced high-strength steel grades, while the Combi Mill at Gamharia enhanced dimensional precision and consistency for automotive applications. Collectively, these capabilities expand market addressability especially in the passenger vehicle segment, support evolving OEM requirements in safety, lightweighting, and formability, and improve product mix and margin resilience.
- › **Construction Solutions:** Tata Steel strengthened its construction solutions portfolio by expanding ready-to-use reinforcement capabilities through a digitally integrated network of 35 service centres, while adding innovative offerings such as Mobile Bore Pile cages and InQuik bridge solutions. This integrated model enhances service reliability through improved availability, faster turnaround times, and consistent product quality. The Company also scaled up Plate Fabricated Sections and increased participation across major industrial, commercial, and infrastructure projects, while expanding its presence in pre-engineered buildings and project-based businesses to diversify demand exposure.
- › **Growth in Value Added Segment:** Tata Steel continued to build momentum in its Engineering and Downstream segments by focusing on high-potential applications across railways, lifting and excavation, solar, shipbuilding, and oil & gas, while selectively entering emerging high-growth segments. Capacity ramp-ups at downstream facilities, new customer acquisitions, and approvals from global certification agencies supported higher value realisations and progressively reduced dependence on commoditised volumes.
- › **Culture of Continuous Improvement:** Across all geographies, the Company continues to implement structured improvement programmes to strengthen its position in value-added segments and lower cost-to-serve. These initiatives emphasise disciplined execution of improvement opportunities, with a clear focus on enhancing EBITDA and competitiveness through better operational performance, reduced process variability, higher yield and throughput, and improved service levels.

- › **Retail & Branded Sales:** Tata Steel strengthened its retail and branded play during FY2025-26, with Tata Tiscon, the Company's flagship B2C rebar brand, achieving its highest-ever annual retail volumes, reflecting sustained brand strength and deeper market penetration. Tata Steelium, catering to the SME segment, recorded strong growth of ~28%, supported by expanding applications and customer reach. The Company continued to address market white spaces through enhanced physical distribution and digital platforms such as Aashiyana 3.0 and DigiECA 3.0, improving customer engagement, ease of access, and stickiness across retail and SME segments.

Tata Steel Netherlands is implementing a focused set of actions to enhance its competitive position in EU-oriented markets by increasing the share of innovative, high-value products and progressively reducing exposure to commoditised segments that are more susceptible to import pressures. The business is optimising its portfolio by aligning long-term contracts with targeted product and market mixes, strengthening customer partnerships, and improving the quality of earnings through a more resilient order book.

In parallel, TSN is aligned with the EU Steel Action Plan in force, which strengthens trade defence, supports CBAM implementation, mitigates energy and carbon cost disadvantages, and reinforces a level playing field for European steel producers. The new tariff-rate quota (TRQ) system designed to address structural global overcapacity in the steel sector, including a significant reduction of import quotas and higher duties for imports exceeding those quotas.

Tata Steel UK (TSUK) is executing structural fixed-cost rationalisation measures aimed at lowering breakeven levels and reducing operating leverage under conditions of weak demand and price volatility.

TSUK is also aligning its transformation and decarbonisation roadmap with the UK Steel Strategy now in place, which provides a supportive policy framework covering trade remedies, energy-cost competitiveness, decarbonisation support, and supply-chain resilience.

TSTH strengthened performance through targeted actions. Retail and high-value rebar growth was driven by stronger partnerships, improved service and availability, selective project development, and better production planning. Price competitiveness was supported by market monitoring and advocacy on Thai Industrial Standards, while resilience was reinforced through expanded scrap sourcing and value-in-use cost efficiency.

## Regulatory Risk

Tata Steel operates within a complex and rapidly evolving regulatory environment across India, the Netherlands, the UK, Europe and South-East Asia. Its diverse activities spanning mining, manufacturing, logistics, and international trade exposes it to key risks related to environmental regulation, ESG disclosures, competition law, labour and safety compliance, and cross-border trade controls.

Among these, environmental and climate-related regulations represent the most significant global risk. Critical areas include air emissions, water pollution, hazardous waste management, mine closure and rehabilitation, climate transition requirements, and community health impacts.

In the Netherlands, Tata Steel has come under increased scrutiny from regulators and local communities regarding emissions from its IJmuiden plant. This has resulted in legal action, including a €1.4 billion class action lawsuit filed in December 2025, along with the likelihood of stricter emission standards, potential operational constraints, financial penalties, and mandatory decarbonisation commitments linked to state support. Tata Steel Netherlands is already seeing significant regulatory risks related to the IJmuiden operating site play out. Based on the local Environment Agency's measurements of exceedances of emissions of substances versus certain prescribed limits, TSN has received multiple notices alleging non-compliance and has paid more than €20 million of penalties in FY2025-26 in relation to the coke and gas plants. Many of these notices and penalties relate to exceedances in connection with the legacy coke and gas plant infrastructure, designed and commissioned 40-50 years ago. The unavailability of technically and operationally feasible solutions limits our capability to address the issue within the expected time frame. The Environment Agency and the local Province have also on 23<sup>rd</sup> April, 2026 issued a letter to TSN indicating their intention to revoke operating permits and trigger an early closure of the coke and gas plants. TSN is also engaged with the regulators on evolving standards relating to classification and disposal of steel slag, where local requirements in the Netherlands now not only exceed EU standards but are threatening to become infeasible. TSN has also received regulatory notices in relation to dust emissions and other exceedances at its sinter plant and steel casters.

The steel sector is also highly impacted by global carbon pricing mechanisms. The EU's Carbon Border Adjustment Mechanism (CBAM) is particularly significant, affecting the cost structure, compliance requirements, and strategic positioning of carbon-intensive steel exports to Europe.

In India, Tata Steel's mining operations face extensive regulatory oversight. Key risks include mining lease renewals, environmental and forest clearances, royalty and District Mineral Foundation (DMF) disputes, allegations of illegal mining, land acquisition challenges, rehabilitation obligations, and water usage permissions. The regulatory landscape is highly litigation-driven and enforcement-focused, involving multiple authorities, with changes in taxation or auction frameworks directly influencing profitability.

On the disclosure front, the Company must comply with expanding ESG reporting requirements under SEBI's BRSR framework, IFRS sustainability standards, EU regulations, and TNFD/TCFD-aligned frameworks. As disclosures become more assurance-driven, there is an increasing risk of liability for directors and management, along with potential reputational implications.

Steel manufacturing and mining are inherently high-risk industries from a safety perspective. Regulatory exposure arises under occupational safety laws, the Factories Act, environmental health regulations, and criminal liability provisions. Key risks include workplace accidents, exposure to hazardous substances, contractor safety issues, and potential prosecution of management.

Additionally, the global steel industry is subject to extensive trade regulations, including safeguard duties, anti-dumping actions, import quotas, and tariffs. Tata Steel's European and UK operations are particularly vulnerable to shifts in import quotas, excess global supply (especially from China), and trade defence investigations.

Competition law poses a significant risk for Tata Steel, with the steel sector closely monitored for practices such as price coordination, market allocation, procurement collusion, and abuse of dominance. Exposure spans procurement, distribution, trade associations, and joint ventures, with potential consequences including substantial penalties, director liability, and reputational damage. In India, Tata Steel is currently under investigation following a 2021 criminal petition by the Coimbatore Corporate Contractors Welfare Association

alleging coordinated pricing, supply restrictions, and market manipulation. Acting on directions from the Hon'ble Madras High Court, the Director General of the Competition Commission of India initiated the probe. Originally focused on Thermo-Mechanically Treated ('TMT') bars, the investigation has since expanded to include Hot Rolled Coils ('HRC') and Cold Rolled Coils ('CRC'). Tata Steel is among 32 steel producers under investigation before the Competition Commission of India.

Tata Steel's global footprint exposes it to broader geopolitical and trade-related risks, including sanctions, export controls, logistics disruptions, and supply chain constraints. Key concerns include energy price volatility, shipping disruptions, compliance with sanctions regimes, and restrictions on raw material sourcing.

Risks for TSTH included the non-renewal of Anti-Dumping/Anti-Circumvention measures, while the Thai government's five-year ban on new steel bar factory establishment and capacity expansion (2025–2030), aimed at addressing oversupply, also limited investment opportunities.

### Mitigation Strategies

To address these challenges, Tata Steel India actively collaborates with relevant ministries and regulatory authorities to strengthen policy frameworks promoting fair trade, infrastructure development, and efficient logistics. Tata Steel closely monitor global trade trends and regulatory changes to proactively assess their implications and ensure timely, informed policy and strategic responses. Strategic engagement with policymakers and industry bodies remains a key approach to enabling a stable and predictable operating environment for the sector.

Tata Steel is aware of the recent allegations regarding cartelisation in the steel sector and denies any wrongdoing or involvement whatsoever. The Steel industry is a global industry with 1.5 billion tons produced annually and driven by international macro factors with very long supply chains. In India, there are no barriers to entry for setting up capacities in the country and the pricing of steel products operates within a transparent, market-based framework shaped by industry dynamics, supply-demand factors, unique customer needs that require pre-approvals, global commodity prices and supply chain trends and global & local competitive

structures. Tata Steel determines its prices independently, based on prevailing market conditions, and other relevant commercial considerations including customer needs. The matter is presently under consideration before the Competition Commission of India. Tata Steel will place its detailed response and submissions before the Competition Commission of India in accordance with due process.

At the Netherlands, health and a clean-living environment remain key priorities, as they do for local residents and stakeholders. Through substantial investments outlined in Roadmap+, TSN has achieved significant improvements in areas of concern for the neighbouring community over the past five years. Additionally, TSN is ranked among the leading global blast furnace-based steel producers in terms of CO<sub>2</sub> efficiency, with performance metrics well below both European and global averages. TSN continues to invest and work on initiatives to enhance the healthy living environment and to reduce impact of operations on the surrounding community in IJmuiden. As part of the Green Steel Plan, developed through a non-binding Joint Letter of Intent with the Dutch Government, Tata Steel Limited and TSN have engaged with stakeholders to define additional targeted measures that extend further beyond legal requirements.

Alongside decarbonisation initiatives intended to promote a healthier living environment, TSN is dedicated to minimising its contributions to coarse and fine particulate matter (PM10) emissions, as well as reducing annual releases of substances of very high concern, NO<sub>x</sub>, SO<sub>2</sub>, odours, and noise. Through these initiatives, TSN seeks to enhance the living environment in the IJmond region. TSN continues to work collaboratively with the local residents and remains committed to improving the environmental standards even further. TSN is committed and will continue to focus on environmental preservation and addressing community concerns through collaboration with the Government and other stakeholders towards a sustainable future for all stakeholders.

Further, TSN and TSUK continue to manage evolving regulatory expectations, closely tracking import trends and working with EUROFER to assess the need for additional trade defence measures amid continued dumping pressures, while uncertainties around CBAM remain a key focus area for both entities.

Both TSN and TSUK monitor EU and UK policy developments to optimise decarbonisation capex and adjust commercial strategies (redirected affected volumes away from the US towards European and other alternative markets), in response to global protectionism, including exposure to U.S. Section 232 tariffs.

TSUK is advancing its EAF based decarbonisation transition at Port Talbot, supported by government approvals and environmental impact processes, helping ensure future regulatory alignment.

TSUK is operating in line with the recently announced UK Steel Strategy, which strengthens trade remedy protections, addresses energy cost competitiveness, supports decarbonisation, and helps mitigate quote-driven import volatility

TSTH measures include engagement with authorised bodies to strengthen Anti-Dumping/Anti-Circumvention enforcement and expand the Thai Industrial Standards Institute ('TISI') scope to enhance trade protection, supported by extending AD coverage to High Carbon Wire Rod ('HCWR') and reporting circumvention cases to the government.

### Operational Risks

The steel sector is increasingly exposed to a broad spectrum of risks. Extreme weather events disrupt global supply chains, while shifting regulations and persistent logistics challenges strains operational efficiency. Cybersecurity vulnerabilities pose serious threats to digital infrastructure, amplifying the need for robust defence. Internally, aging equipment, unexpected breakdowns, and delayed maintenance heighten the risk of costly downtime. Moreover, interruptions in critical utilities—such as electricity, water, and gas—can significantly impede production processes, reducing output and impacting overall performance.

TSUK faces operational risk from its transition away from blast-furnace operations, leading to temporary disruptions, reduced operating levels, and restructuring-related downtime at Port Talbot, along with execution risks tied to EAF construction, commissioning, and scrap-supply adaptation.

TSN is exposed to operational challenges such as meeting strict environmental-compliance requirements, reduced LD-slag disposal options and implementing dust - and emissions-reduction measures at its current operations to structurally resolve outstanding Health and Environment concerns.

### Mitigation Strategies

The maintenance functions have been consolidated to bring synergy across locations in India. The Company has adopted real-time asset monitoring for both preventive and predictive maintenance, ensuring regular upkeep and the reliability of machinery. An Integrated Maintenance Excellence Centre (i-MEC) has been established to maintain the availability, reliability, and integrity of all critical assets, including safety. Additionally, a smart indenting system is being deployed to drive site-specific efficiencies, with accelerated vendor discovery through reverse auctions, planned De-Prop and digitally enabled condition-based maintenance as key value drivers.

Standardising maintenance practices and utilising integrated asset digital analytics bolster predictive maintenance, enabling accurate asset health predictions via the Internet of Things (IoT) and Condition-Based Maintenance. The focus is on optimising costs through synergistic collaboration which strengthens the vendor partner ecosystem and promotes seamless cross-locational synergy. Periodic upgrades to key facilities at Jamshedpur are planned as part of efforts to replace ageing equipment.

To improve the structural integrity and safety of gas lines, the Company is utilising drone-based technologies for condition monitoring and thermography to detect potential blockages. The Power system is being restructured to ensure continuous power availability while optimising grid isolating protection settings. Geopolitical situations and supply chain disruptions have heightened the uncertainty regarding the availability of spare parts, especially those dependent on limited geographic vendors. The Company thus emphasises indigenisation of spares to achieve self-reliance and digitisation of processes for optimised inventory management, aligning with the 'Make-in-India' initiative to encourage vendor partners to supply high-quality spares along with benchmark lead times.

Recognising the increasing unpredictability of weather patterns, including extreme heat and heavy rainfall, the Company has developed a comprehensive disaster response plan. This plan includes clear standard operating procedures to effectively address natural disasters, epidemics, pandemics and extreme weather events, ensuring the safety of the Tata Steel workforce and the continuity of business operations across geographies.

TSUK continues to mitigate operational risks by integrating best practices in asset management, improving process safety, targeted capital expenditure and focused asset risk management. Additionally, TSUK is also progressing its government-supported EAF transition at Port Talbot, following an approved planning and environmental-impact framework and a phased construction and commissioning plan to stabilise operations during the shift.

TSN is mitigating risks through its structured decarbonisation program under the non-binding Joint Letter of Intent, executing phased DRP-EAF deployment, and strengthening current operations with environmental-compliance upgrades such as dust, noise, and odour-reduction measures to maintain continuity while transitioning.

### **Safety Risk**

The steel industry operates in an environment where workforce health and safety remain critical priorities. Hazards are inherent to processes, and risks often stem from lapses in compliance with safety protocols, regulatory standards, or operational guidelines posing threats to business continuity. As companies expand geographically, the complexity intensifies with diverse, location-specific safety laws and requirements that demand rigorous adherence and proactive management.

### **Mitigation Strategies:**

Tata Steel sustains its zero-harm ambition through clearly defined leadership accountability and embedded safety management systems across the organisation. Risk is mitigated through role-based and site-specific training programmes, supported by periodic safety inspections and risk-based audits. AI-enabled CCTV surveillance is deployed at prioritised high-risk locations and Safety Alert Command Centres identify these alerts, trigger actions and monitor faster closures. In parallel, digitised risk registers and structured risk mitigation methods such as HIRA, HAZOP, bow-tie and LoPA keep high-consequence scenarios in focus and verify the health of critical safeguards.

Focused approach on process safety and asset integrity protects the hazardous operations. During the year, early-warning alerts are introduced for critical parameters in LD Shops and Blast Furnaces. Pre-Startup Safety Review (PSSR) standard has been strengthened with structured

checklists and clear accountability. New guidelines for explosion-proof control rooms and flare-stack operations are implemented. Project Hazard Studies are digitally linked with PSSR to embed learnings and assure safe start-ups of new facilities.

Rigorous contractor governance manages risk through parity of protection via a redesigned Vendor Star Rating for cadence and transparency, a common PPE platform, and digitised sub-vendor onboarding process for traceability. Safety in logistics operations have improved through targeted traffic-management measures, paperless weighbridge processes and focused surveillance at vulnerable areas.

Emergency readiness, structured incident learning, and holistic well-being including the Employee Assistance Program and Mental Health First Aiders reinforce resilience, ensuring risks remain well-controlled and business continuity is sustained.

### **Community Risk**

Tata Steel remains committed to enhancing community well-being, with a strong focus on improving the quality of life for vulnerable groups near its operations. The Company actively aligns resources to meet evolving societal expectations, recognising that failure to do so could impact reputation, social license to operate, and business continuity.

In the Netherlands, rising concerns around noise, dust, and emissions have intensified pressure to accelerate decarbonisation and implement impactful social programmes. Additionally, in Thailand there are risks due to potential environmental non-compliance and deteriorating structures, posing safety and legal concerns. Addressing these issues is critical to maintaining stakeholder trust, preventing protests, and ensuring uninterrupted operations.

### **Mitigation Strategies**

Tata Steel continues to engage proactively with communities, with a focused emphasis on vulnerable and underserved groups, to respond to evolving social and developmental priorities. These engagements enable the Company to maintain an ongoing, contemporary understanding of community expectations, local realities, and emerging needs.

In India, the Company is further strengthening the Tata Steel Foundation (TSF) as a purpose-led institution with benchmark capabilities for designing and delivering strategic social impact programmes. TSF implements a portfolio of intervention models that collectively:

- (i) address development challenges aligned to both national imperatives and community priorities;
- (ii) are built on ambitious and well-defined theories of change;
- (iii) have demonstrated measurable, population-level outcomes; and
- (iv) are scalable, with initiatives being replicated across India and offering learning potential in global contexts.

During FY2025-26, TSF directly impacted over 6.9 million lives, with key outcomes including:

- › **Strengthened leadership and economic participation** by enabling 1,789 women to complete structured leadership programmes, with 878 placed in decision-making roles, while supporting 2,716 out-of-school children to re-enter formal education and connecting 22,000 persons with disabilities to assistive and inclusion-focused services.
- › **Health, Nutrition, and Well-being:** Improved community health outcomes by achieving a 94.3% redressal rate for high-risk pregnant women and children through early identification, referrals, and follow-up care, alongside continued focus on holistic well-being.
- › **Sustainable Livelihoods and Resource Security:** Enabled 144,973 households to adopt climate-resilient agricultural practices, strengthened water security through creation of 235 water storage capacities, and facilitated access to ₹4,213 crore of public entitlements via last-mile outreach and documentation.
- › **Community Development and Social Capital:** Enhanced social infrastructure and identity through completion of 750 community assets, engagement of 29,438 youth in grassroots sports, and documentation of 61 tribal intellectual properties to preserve and promote indigenous knowledge systems.

TSUK is mitigating community risks through a substantial support package for affected employees and local communities, including over £130 million in transition assistance and additional UK-Welsh Government funding to ease socio economic impacts of the Port Talbot transformation.

TSN is addressing community and health concerns by implementing dust, noise, and emissions reduction measures such as windbreaks, covering ore fields, and environmental upgrades under its decarbonisation and health program for the IJmuiden region. TSN has also signed the Dutch Government-backed non-binding Joint Letter of Intent (JLoI), which commits to improving the living environment around IJmuiden. TSN also has instituted a community outreach programme where local people are invited to come and visit the steel plant to actually see the site, understand the work being done and allay some of their concerns.

TSSTH prioritises efficient resource use and environmental management to minimise community impact, with ferrous scrap as its main fully recyclable raw material. It monitors emissions and air quality in compliance with Environmental Impact Assessment (EIA) and regulatory requirements, while applying water efficiency and a zero-discharge principle. These efforts are supported by training to enhance environmental awareness and waste management among employees and contractors, alongside proactive community engagement.

### **Supply Chain Risk**

In FY2025-26, Tata Steel India efficiently managed one of the industry's most complex value chains, moving approximately 82 MT of raw materials and 22.6 MT of finished goods. Our robust, multi-site network, comprising 12 ports, 25 stockyards, and 37 Steel Processing Centres, underpinned this extensive operation. With planned capacity ramp-ups at Kalinganagar, the strategic importance and scale of our supply chain will continue to expand in FY2026-27 and beyond.

For coal & flux, Tata Steel India is heavily dependent on imports (~80% of its requirement is met through imports). Persistent Red Sea hostilities since late-2023 have driven widespread diversions around the Cape of Good Hope, typically adding 10–14 days on Asia–Europe lanes and elevating war-risk insurance premiums.

Continued conflicts and hostilities (Russia-Ukraine, Iran-US-Israel) have significantly increased transit times, insurance premiums, and fuel costs, impacting flux sourcing and finished good exports. Sometimes despite the war risk premium, vessel owners may not be willing to go to war risk area and hence placing a vessel becomes a challenge.

Further, the Freight Policy of Indian Railways (Busy Season Surcharge waiver) has become cost adverse impacting the supply chain spend. Additionally, there are intermittent disruptions in railways and ports due to myriad of reasons including accidents, regional strikes, cyclones, and unpredictable monsoons. These disruptions may impact quality and reliability of raw material supplies and also disrupt movement of finished goods. The continuous tariff wars and ever increasingly stringent statutory norms akin to CBAM are posing threat to steel sale & movement further.

Thus, supply chain faces a multi-faceted risk of business discontinuity due to disruption in infrastructure, geopolitical scenario, changing policies and statutory norms. Accordingly, mitigation strategies have been planned and are dynamically updated to cover all these aspects.

Supply-chain risks for TSN and TSUK stem from reliance on global sourcing, logistics and energy volatility, and trade-policy-driven import disruptions, with TSUK particularly exposed due to quota volatility. Whereas for TSTH, there is a potential supply chain risk for Silico Manganese due to vessel availability constraints and logistics disruptions related to the Middle East conflict, along with an increase in raw material costs driven by higher freight and logistics expenses.

### Mitigation Strategies

**Shipping & Ports:** Tata Steel has long term partnership agreements with major ports like Dhamra and Paradip (KICTPL- Kalinga International Coal Terminal Private Ltd.) to de-risk import supply chain. Further, new supply chain route for flux is being developed through Salalah, Dibba, and Khanom ports. Alternate flux sourcing from Bhutan, Nagpur, Jaisalmer via railways is also in progress. The bunker and daily hire hedging strategies are helping to keep the shipping freight in control.

**Strengthening Inland Logistics Infrastructure:** The existing railroad infrastructure at TSK steel plant has been strengthened to meet logistics requirement for 8 MTPA plant. The upcoming Angul Sukinda Rail Link will augment the supply chain capabilities further. In addition, for the expansion of the Neelachal complex, a long product manufacturing site, work has commenced to secure crucial railway approval for the Baghuapal Rail Connectivity to the plant. Dedicated rake assets (112 in Nos) under GPWIS & SFTO schemes continue to operate and ease out the scarcity of rolling stocks.

**Sustainability Initiatives:** In FY2025-26, Tata Steel executed 39 biofuel voyages and 5 LNG fuelled vessels, representing ~16% of imported shipments. The alternative fuel (CNG/LNG/EV) based fleet has been continuously augmented with finished goods road transportation in India now operating approximately 623 such vehicles. The team is also working to ensure CBAM readiness for EU shipments (installation-level data pack, verification pathways, and commercial pass-through clauses).

Tata Steel Netherlands and Tata Steel UK are strengthening supply-chain resilience through supplier diversification, increased use of local and regional sourcing, and closer strategic partnerships with key vendors and customers.

For Tata Steel UK, supply-chain resilience is further supported by the UK Steel Strategy in force, which promotes domestic and regional sourcing, prioritises UK steel in public procurement, strengthens trade-remedy enforcement, and reduces reliance on volatile import flows.

TSTH has implemented contingency sourcing plans for Silico Manganese, maintained close monitoring of logistics and vessel availability, and strengthened supplier coordination to ensure supply continuity, while also managing cost pressures through ongoing freight and procurement optimisation.

### Cyber and Information Security Risk

The Company's operations continue to significantly rely on IT and digital infrastructure, with sustained investments in digital transformation for critical and complex processes across its diverse operating footprint.

The accelerated digitisation of the value chain offers opportunities for efficiency and growth but also introduces risks associated with emerging technologies such as Artificial Intelligence (AI), Robotic Process Automation (RPA), and Machine Learning (ML). Generative AI, in particular, is reshaping customer engagement and operational decision-making globally. However, these integrations heighten exposure to cyber and privacy risks, regulatory non-compliance across multiple jurisdictions, inaccurate or biased data outputs, and potential system instability.

Safeguarding organisational data for confidentiality, integrity, and availability remains paramount under established data governance norms. The Digital Personal Data Protection Act, 2023, along with evolving international data privacy frameworks, enforces stringent requirements for data privacy and protection. Any deviation from IT and cybersecurity regulations could result in financial penalties and reputational harm. Adherence to defined privacy policies is therefore critical.

While technology platforms are maintained at current and supportable standards, proactive management of technology obsolescence is essential to mitigate cyber vulnerabilities and ensure business continuity across all operations.

#### Mitigation Strategies

The Company has established a robust and comprehensive cybersecurity framework grounded in globally recognised standards and leading practices, including ISO/IEC 27001:2022, with formal certifications.

Cybersecurity governance is operationalised through clearly defined roles, responsibilities, and accountability frameworks, supported by a robust maker-checker mechanism that ensures segregation of duties with effective oversight, independent validation, and assurance over the design and execution of security controls.

A layered security architecture, reinforced by continuous monitoring mechanisms ensures timely detection, escalation, and effective response to potential security incidents to protect critical systems and information assets. Security considerations are embedded early in the technology lifecycle through structured architecture and design assessments, ensuring that security requirements are incorporated during the planning and development of new digital initiatives. These controls are further strengthened through periodic security testing and independent assessments conducted from an attacker's perspective to identify and address potential vulnerabilities. Additionally, continuous oversight of cloud environments is maintained to identify configuration risks and ensure that appropriate security controls are consistently implemented and operating effectively.

An integrated IT and OT Security Operations Centre (SOC) provides near real time visibility into security events across enterprise and operational environments, enabling prompt identification of anomalies and immediate initiation of mitigation actions. Advanced monitoring technologies support continuous tracking of unusual behaviours and suspicious communication patterns, facilitating timely and effective threat detection. A 24x7x365 external attack surface management capability has been established to continuously identify internet facing vulnerabilities and assess potential exploit paths from an attacker's perspective, enabling proactive and timely mitigation of risks before they can be discovered or leveraged by threat actors. Advanced scanning and continuous monitoring tools further enhance the vulnerability management framework by enabling near real time identification of security gaps.

Threat intelligence and risk monitoring mechanisms help identify emerging cyber risks and support prioritised mitigation actions.

The adoption of AI introduces new data, security, and governance risks, which are mitigated through controlled environments, enhanced security controls, and ongoing oversight within the enterprise risk framework.

The Company has established comprehensive policies and governance mechanisms to ensure compliance with data protection and privacy requirements. Data governance frameworks ensure that organisational data is appropriately protected and managed throughout its lifecycle. With the increasing adoption of advanced digital technologies, including generative AI and agentic AI, the Company ensures that such technologies are deployed within secure and controlled environments to mitigate risks related to unintended exposure of sensitive information.

Periodic cybersecurity assessments, security audits and technology refresh initiatives are undertaken to strengthen cyber resilience and address risks associated with technology obsolescence. These cybersecurity practices are progressively being extended across Tata Steel Group Companies to strengthen enterprise-wide security maturity.

Through this governance, monitoring and continuous improvement mechanisms, the Company continues to enhance the resilience of its digital ecosystem and maintain reliability of its operations.

### Commodity Risk

Coal and other bulk commodities accounted for ~63% of the Company's procurement expenditure. During FY2025-26, the global demand for steel and its vital raw material viz. metallurgical coal, iron ore and natural gases. This was influenced by reduced import volumes from key consuming markets, a tempered growth in steel production, and augmented supply originating from nations like China and Indonesia. Ongoing trade tensions and sanctions involving major global players such as the USA, China, Canada, Europe, and Russia introduced market volatility and periodically impacted supply availability. While, Chinese steel prices experienced continued softening, iron ore prices remained stable, receiving minimal uplift from typical seasonal weather-related disruptions or inventory restocking efforts. At the end of FY2025-26, the escalating tensions and direct engagements in the Middle East, primarily involving Israel, Iran, and the USA, posed a significant and immediate threat to global commodity markets. The primary concern is the potential for severe disruption to critical shipping lanes, notably the Strait of Hormuz, and direct attacks on regional energy infrastructure.

The Company operates within a complex global risk landscape shaped by concentration in key raw material supply chains. Availability of several critical steelmaking inputs, including seaborne metallurgical coal and certain consumables, remains dependent on a limited number of geographies. This concentration increases exposure to supply disruptions arising from origin-specific challenges, including infrastructure limitations and force majeure events.

Supply chain reliability is also influenced by external factors such as extreme weather events and evolving geopolitical conditions, which can disrupt mining, transportation, and trade routes. In addition, shifts in domestic sourcing mechanisms and transportation dynamics may affect inventory management, particularly where regulatory or administrative restrictions are introduced with limited notice.

Pricing volatility presents another area of exposure, as global trends for steelmaking process consumables are significantly influenced by production and market sentiment in major manufacturing regions. While prices have remained relatively stable in recent periods, changes in demand, policy, or trade dynamics could lead to increased volatility.

The Company continues to navigate an evolving regulatory environment. Changes in trade regulations, statutory requirements, and sustainability standards across import and export markets require ongoing monitoring and adaptation to ensure supply continuity, operational resilience, and compliance.

The Middle East accounts for approximately 30% of global oil production, and the Strait of Hormuz is a chokepoint for one-fifth of global oil shipments. Recent escalations have driven Brent crude prices above \$100 per barrel, with peaks at \$120.

The Strait of Hormuz is crucial for LNG flows (one-fifth of global LNG), and recent attacks have led to a 17% reduction in Qatar's LNG export capacity. LPG also got severely affected with nearly 30% of global exports passing through the Strait of Hormuz. Price increases to the tune of 40% in LNG and 60% in LPG were observed during recent attacks. Price volatilities were similarly observed in other key commodities such as Ammonia, Fluxes (Limestone, Dolomite & Pyroxinite).

### Mitigation Strategies

Over the long term, steel prices exhibit a strong correlation with underlying raw material costs. Movements in key inputs such as coal and iron ore are, over time, transmitted into steel prices, thereby providing a degree of natural economic hedging. Within the Tata Steel Group, a comprehensive suite of measures is implemented to proactively manage price volatility, enhance cost predictability, and strengthen resilience across the value chain.

A Group-wide smart hedging framework is deployed for key raw materials. Hedging is executed in financial markets to improve price certainty and to lock in spreads between purchased ore and confirmed steel orders, thereby improving margin stability and reducing exposure to adverse price movements.

Advanced commodity price forecasting tools are utilised to interpret market signals, anticipate price trends, and support data-driven procurement decisions. These insights enable the optimisation of purchase timing, contract structures, and inventory strategies to improve overall cost efficiency.

Reverse auctions are leveraged as a structured mechanism for efficient price discovery and competitive sourcing for commodities such as coal, ferro alloys, refractories, and other critical inputs.

A number of initiatives have been taken to diversify sourcing of coal from different countries apart from Australia. While Australia continues to be a geography of choice with availability of all grades of coals, zero import duty, relatively shorter voyage time for India etc, however, new sources have been developed in USA, Canada, Mozambique and Indonesia, with the objective of mitigating concentration risk and reducing over-dependence on specific regions and supplier bases, particularly in periods of elevated market uncertainty.

Potential sources in additional domestic geographies—such as Odisha and Chhattisgarh—are evaluated to enhance supply security for non-coking thermal coal. This assessment supports strategic optionality, strengthens procurement resilience, and reduces vulnerability to localised disruptions.

Indigenisation remains a key lever for de-risking the supply chain while enabling local suppliers and MSMEs to upgrade their technological and quality capabilities in and around Jharkhand and Odisha. Strengthening OEM facilities in India through collaboration and alternate product development continues to safeguard continuity against geo-political disruptions.

We have adopted the Sustainable procurement framework for bulk material wherein we are engaging with our suppliers to take initiatives in the areas of reduce, recycle, and reuse.

## IX. Opportunities

Please refer to the section on 'Opportunities' under Strategic Roadmap forming part of this Integrated Report.

## X. Internal Control Systems and its Adequacy

The Company has a robust Internal Financial Controls ('IFC') framework that aligns with its operational size, scale, and complexity. The Board of Directors holds the responsibility for ensuring that the IFC is adequate and operating effectively. This framework has been designed to provide reasonable assurance regarding the accuracy of financial and operational reporting, compliance with applicable laws, safeguarding of assets against unauthorised use, proper authorisation of transactions, and adherence to corporate policies. Furthermore, this internal control framework complies with the requirements set forth in the Companies Act, 2013.

Tata Steel has established Standard Operating Procedures (SOPs) and policies to guide its operations, with business leaders responsible for ensuring compliance. The Company employs continuous internal monitoring to identify risks promptly. Management has prioritised internal financial controls through IFC Standardisation and Rationalisation, streamlining control testing processes and enhancing automation. The focus has been majorly on automation of implemented controls. This approach has reduced manual intervention and improved data analysis through avoidance of biasedness, thereby aiding in increased effectiveness of IFC framework. With expansion and foray in new businesses in FY2025-26, the control library has grown to address these new business areas and their associated risks. To tackle these challenges, the Management has reassessed internal financial controls and updated the risk control matrix, ensuring a robust control ecosystem that aligns with best practices. This effort provides assurance of operational efficiency and timely detection of control lapses as Tata Steel navigates its growth initiatives. The Management aims at enhancing IFC maturity through adoption of automation & advanced analytics for control monitoring and conducting regular awareness sessions for the respective team.

The Management, along with statutory and internal auditors, has conducted thorough due diligence of the Company's control environment through comprehensive testing to ensure its effectiveness. The Company employs the SAP Governance, Risk, and Compliance Module and other IT platforms to maintain a robust IFC framework, governed by an Information Management Policy. The internal financial controls have been documented and integrated into business processes, and based on evaluations carried out during the year, the Company's IFC are adequate and operating effectively, with continuous improvements driven through automation, analytics and revealed no material weaknesses.

## XI. Statutory Compliance

The Company has in place adequate systems and processes to ensure that it is in compliance with all the applicable laws. The Company Secretary and Chief Legal Officer is responsible for implementing the systems and processes for monitoring compliance with the applicable laws and for ensuring that the systems and processes are operating effectively. The Chief Executive Officer and Managing Director, places before the Board, at each meeting, a certificate of compliance with the applicable laws. The Company Secretary and Chief Legal Officer also confirms compliance with Company law, SEBI Regulations and other corporate laws applicable to the Company.

## TAX TRANSPARENCY REPORT

### Introduction

This Tax Transparency Report is a voluntary report which outlines our approach to tax, tax principles and governance and risk mitigation framework. It demonstrates our continued commitment to the early adoption of responsible tax behaviour and a strong focus on tax transparency in a rapidly evolving global tax landscape.

The report structure and the content are guided by the Global Reporting Initiative (GRI) 207 : Tax 2019, a guidance issued by the Global Sustainability Standards Board, tax principles as stated in B Team's Responsible Tax Principles and the Extractive Industries Transparency Initiative (EITI) document. It also addresses the disclosure requirements of Business Responsibility and Sustainability Reporting (BRSR). In line with S&P Global guidance for the Dow Jones Sustainability Index (DJSI), it also includes data from our Organisation for Economic Co-operation and Development (OECD) Country-by-Country Report (CbCR) for the countries where we have a taxable presence.

We trust this report will enable the stakeholders to form an informed view of our Tax Governance, Strategy and Contributions in a rapidly evolving global tax landscape.

### Our Approach

#### Tax Governance

We comply fully with the spirit and letter of tax regulations in the countries where we operate. We place strong emphasis on maintaining robust tax controls at all levels of the organisation. Our approach ensures the timely payment of appropriate taxes in a responsible manner while complying with tax regulations.

Our governance framework ensures fairness and transparency in the management of the tax matters. Clear tax principles, well-defined strategy and integrity forms the bedrock of our governance framework.

We engage openly with stakeholders to build trust and reinforce our belief that tax is a vital contribution to society.

Experienced in-house tax teams especially in India, the UK and the Netherlands manage day-to-day tax

matters through robust internal controls and continuous capability enhancement.

We leverage advanced tax technology to streamline compliance, formulate strategy and mitigate tax risks across global operations.

We promote transparency through relevant tax disclosures that strengthen accountability and clarity on tax matters globally.

We have implemented OECD Pillar Two compliance processes, wherever required and continue to monitor their adoption into local legislation.

#### Tax Strategy

Tata Steel adopts approach to taxation, with a clear commitment to paying the right amount of tax, at the right time, in each jurisdiction. Our tax positions align with genuine business substance and long term value creation and avoid aggressive planning or artificial structures, in line with OECD Base Erosion and Profit Shifting (BEPS) principles.

Tata Steel hosts its Tax Strategy on its website [www.tatasteel.com](http://www.tatasteel.com), reflecting tax principles grounded in the Tata Code of Conduct (TCoC) and our commitment to ethical tax governance. Where required, the Tax Strategies of Tata Steel Nederland, Tata Steel UK and Tata Steel Minerals Canada are approved by the Boards of the respective companies and disclosed publicly.

#### Tax Principles

Our tax principles are guided by the TCoC and reflects our commitment to ethical tax governance.

##### > Compliance

To maintain integrity in compliance and reporting and to pay the right amount of tax at the right time in all countries where we operate.

##### > Business Substance

To align our business structure with the substance of the economic and commercial activity undertaken within the boundaries of the applicable laws of the land in which we operate.

› **Transparency**

To provide detailed information and disclosures to our stakeholders in order to foster deeper understanding of our approach to tax and tax contributions aligned with value creation, while ensuring proactive, transparent and professional relationships with industry, governments and tax authorities.

› **Accountability and Governance**

To ensure all tax decisions are guided by applicable laws of countries where we operate, with its implementation being governed through a stringent accountability matrix.

› **Enhancing Capabilities**

To enable and enhance the capabilities of our people, promoting excellence and thereby maximising operational efficiencies.

› **Effective Tax Systems**

To maintain a robust risk based framework that identifies, assesses and manages tax risks using available resources, technology and tax governance structure.

› **Enhancing Shareholder's Value**

To operate on a growth paradigm having a primary interest of shareholder's value creation while complying with all jurisdictional regulations and availing tax incentives and credits, as per legislation.

**Tax Risk Management and Mitigation Strategies**

Tata Steel operates within an Enterprise Risk Management (ERM) framework for proactive identification and management of business risks, including tax risks associated with its operations.

› **Continuous Risk Assessment**

With global operations, Tata Steel faces tax risks arising from evolving tax regulations and complex compliance requirements.

The Company applies professional judgement to evaluate tax implications and arrive at well reasoned conclusions.

Risks are mitigated through regular discussions, advance planning, adoption of enabling technology, development of resources and obtaining necessary approvals from tax authorities wherever possible.

› **Robust Self Assessment**

Significant tax risk areas are identified and communicated by function-level tax teams to relevant boards at

country or Tata Steel Group-level and periodic review mechanisms are put in place.

Based on this assessment, appropriate tax policies and guidance are issued to influence organisational behaviour and minimise risk exposure.

› **Resource Stewardship**

Tax policy is embedded across the supply chain, extending to employees, associates and third parties.

All stakeholders are expected to understand and adhere to tax policies and follow the TCoC.

Expert advice from qualified professionals is proactively sought in cases involving complex or ambiguous tax laws to ensure clarity and compliance.

› **Industry Benchmarking**

The Company actively monitors industry trends and peer practices to benchmark compliance and transparency standards.

Processes and policies are aligned with evolving regulations.

Strong governance values and the TCoC ensure seamless and principled transitions.

**Related Party Transactions**

All related party transactions are governed by a strong foundation of transparency, accountability and alignment with international best practices. Guided by the OECD Transfer Pricing Guidelines and local regulatory requirements, our related party transaction policy mandates adherence to arm's length pricing.

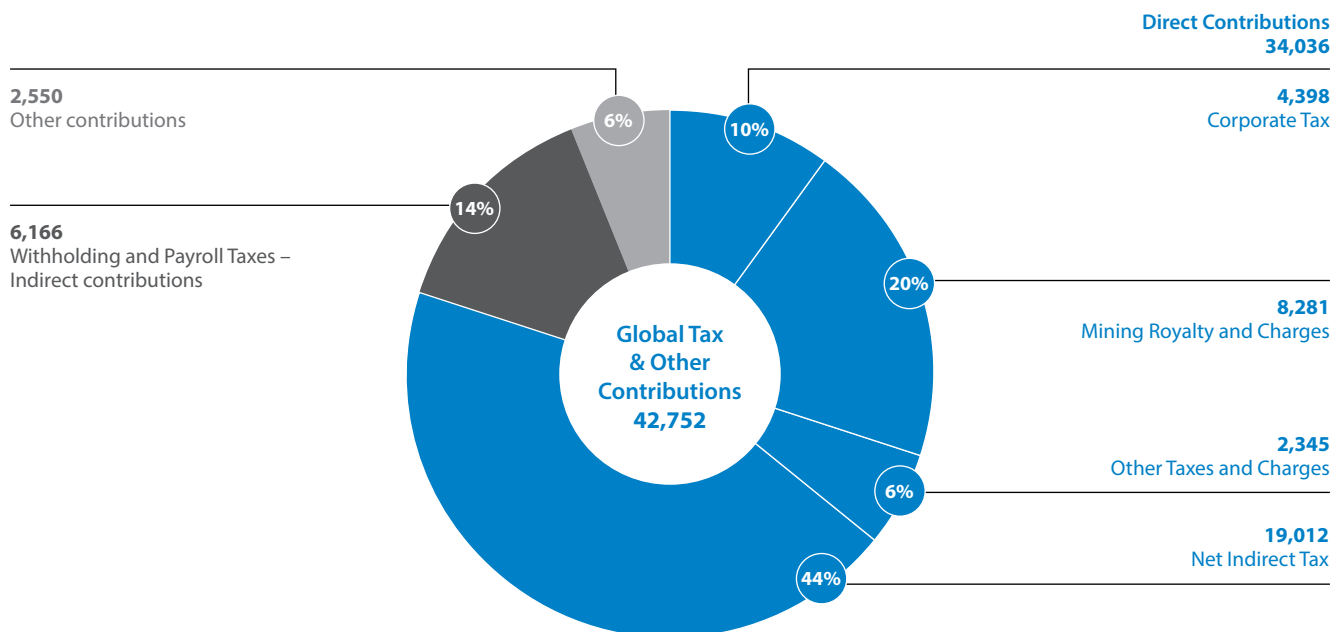
**Global Tax and Other Contributions**

The preceding sections of this report outlines Tata Steel's Tax Governance framework and Tax Principles. Building on this context, the following section presents a summary of the global tax and other contributions made by Tata Steel and its group companies, both directly and indirectly, to governments and public institutions.

Direct contributions comprise taxes and levies paid by the Company in return for the right to operate and access public resources. These include net indirect taxes, corporate income tax, mining royalties and other statutory taxes and charges. Indirect contributions represent amounts collected and remitted by the Company on behalf of other stakeholders, such as withholding taxes and payroll related taxes. Other contributions refer to statutory, non tax payments made by the Company, including employer contributions to social security schemes, such as provident funds.

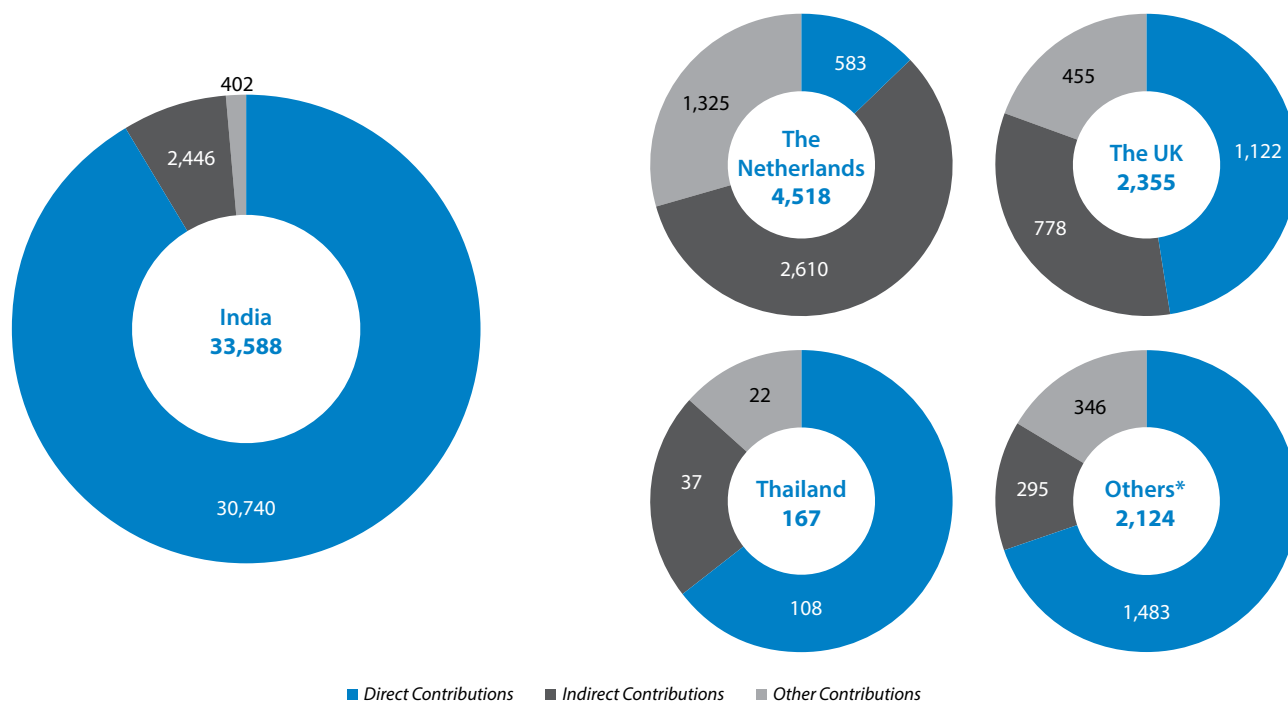
## Global Tax and Other Contributions – FY2025-26

(₹ crore)



## Major Country wise Contributions – FY2025-26

(₹ crore)



\* Belgium, Brazil, Canada, China, Czech Republic, Finland, France, Germany, Ireland, Italy, Mauritius, Mexico, Norway, Poland, Romania, Singapore, Spain, Sweden, Switzerland, United Arab Emirates and United States of America.

## Contribution by Entity

| Entity Name                                                                                   | Relation      | Country | Business Description                            | Revenue From Operations | Tax Expense | Profit/ (loss) before tax | Direct Contributions |                            |          | Indirect Contributions | Other Contributions |
|-----------------------------------------------------------------------------------------------|---------------|---------|-------------------------------------------------|-------------------------|-------------|---------------------------|----------------------|----------------------------|----------|------------------------|---------------------|
|                                                                                               |               |         |                                                 |                         |             |                           | Income Tax Paid      | Other Direct Contributions |          |                        |                     |
|                                                                                               |               |         |                                                 |                         |             |                           |                      |                            |          |                        |                     |
| (₹ crore)                                                                                     |               |         |                                                 |                         |             |                           |                      |                            |          |                        |                     |
| Adityapur Toll Bridge Company Limited                                                         | Subsidiary    | India   | Heavy Engineering and Construction              | 8.43                    | 1.16        | 3.78                      | (0.14)               | 0.01                       | 0.74     | 0.02                   |                     |
| Brahmani River Pellets Limited                                                                | Subsidiary    | India   | Manufacturing                                   | 472.44                  | 9.33        | 36.07                     | 9.50                 | 21.83                      | 2.13     | 0.54                   |                     |
| Ceramat Private Limited                                                                       | Subsidiary    | India   | Manufacturing                                   | 0.96                    | -           | (1.32)                    | -                    | -                          | 0.35     | -                      |                     |
| Creative Port Development Private Limited                                                     | Subsidiary    | India   | Port Operation                                  | 2.47                    | 0.02        | 0.34                      | 0.01                 | 0.40                       | 0.44     | 0.04                   |                     |
| Himalaya Steel Mills Services Private Limited                                                 | Joint Venture | India   | Manufacturing                                   | 17.46                   | 0.67        | 2.61                      | 0.69                 | -                          | 0.17     | 0.14                   |                     |
| Industrial Energy Limited                                                                     | Joint Venture | India   | Power production                                | 82.63                   | (13.12)     | 36.23                     | 5.44                 | 7.88                       | 1.55     | 0.27                   |                     |
| Jamipol Limited                                                                               | Joint Venture | India   | Manufacturing                                   | 118.25                  | 2.92        | 11.58                     | 3.32                 | 10.03                      | 2.62     | 0.27                   |                     |
| Jamshedpur Continuous Annealing & Processing Company Private Limited                          | Joint Venture | India   | Manufacturing                                   | 2,118.19                | 58.20       | 226.37                    | 30.38                | 60.36                      | 9.16     | 0.87                   |                     |
| Jamshedpur Football and Sporting Private Limited                                              | Subsidiary    | India   | Sporting and Recreational Activities            | 31.95                   | -           | (4.40)                    | (0.42)               | 3.85                       | 4.24     | -                      |                     |
| Medica TS Hospital Private Limited                                                            | Subsidiary    | India   | Health Service                                  | 41.03                   | (0.03)      | 2.31                      | (0.27)               | 0.05                       | 1.53     | 1.06                   |                     |
| Mjunction Services Limited                                                                    | Joint Venture | India   | E-auction Service Provider                      | 167.50                  | 8.81        | 34.89                     | 11.44                | 20.31                      | 22.15    | 3.43                   |                     |
| Naba Diganta Water Management Limited                                                         | Joint Venture | India   | Water Management                                | 11.74                   | 1.81        | 6.28                      | 1.09                 | 1.52                       | 0.85     | 0.02                   |                     |
| Neelachal Ispat Nigam Limited                                                                 | Subsidiary    | India   | Manufacturing                                   | 5,281.59                | (1.52)      | 66.13                     | 3.61                 | 878.10                     | 44.45    | 14.46                  |                     |
| Rujuvalika Investments Limited                                                                | Subsidiary    | India   | Other Services                                  | -                       | 1.49        | 5.60                      | 1.43                 | -                          | -        | -                      |                     |
| Subarnarekha Port Private Limited                                                             | Subsidiary    | India   | Port Construction                               | -                       | -           | (6.21)                    | 0.01                 | 0.04                       | 1.39     | 0.07                   |                     |
| Tata Steel Colors Private Limited<br>(Formerly known as Tata Bluescope Steel Private Limited) | Subsidiary    | India   | Manufacturing                                   | 1,385.70                | 2.36        | 4.69                      | 23.06                | 68.10                      | 33.48    | 2.03                   |                     |
| Tata Nyk Shipping (India) Pvt. Ltd.                                                           | Joint Venture | India   | Shipping Service                                | 8.32                    | 0.05        | 0.63                      | 0.30                 | 0.28                       | 0.91     | 0.37                   |                     |
| Tata Steel Advanced Materials Limited                                                         | Subsidiary    | India   | New material development company                | 0.03                    | -           | (15.78)                   | -                    | -                          | 0.11     | -                      |                     |
| Tata Steel Business Delivery Centre Limited                                                   | Subsidiary    | India   | Administrative, Management and Support Services | 42.39                   | 1.37        | 5.16                      | 1.56                 | 2.23                       | 2.98     | 0.39                   |                     |
| Tata Steel Downstream Products Limited                                                        | Subsidiary    | India   | Manufacturing                                   | 8,133.60                | 35.26       | (21.94)                   | 43.07                | 66.36                      | 43.48    | 13.47                  |                     |
| Tata Steel Foundation                                                                         | Subsidiary    | India   | Other Services                                  | 497.02                  | -           | (42.22)                   | 0.36                 | 1.44                       | 10.08    | 1.63                   |                     |
| Tata Steel International (India) Limited                                                      | Subsidiary    | India   | Sales Office                                    | -                       | 0.39        | (1.47)                    | 0.32                 | -                          | 0.13     | 0.01                   |                     |
| Tata Steel Limited                                                                            | Parent        | India   | Manufacturing                                   | 139,720.22              | 5,287.97    | 21,353.10                 | 4,229.80             | 24,936.14                  | 2,175.50 | 310.08                 |                     |
| Tata Steel Special Economic Zone Limited                                                      | Subsidiary    | India   | Distribution                                    | 39.54                   | 8.22        | 32.72                     | 3.88                 | 79.67                      | 1.59     | 0.11                   |                     |
| Tata Steel Support Services Limited                                                           | Subsidiary    | India   | Other Services                                  | 135.29                  | 0.43        | 2.73                      | 1.34                 | 22.30                      | 1.18     | 9.46                   |                     |
| Tata Steel Tabb Limited                                                                       | Subsidiary    | India   | Procurement, Manufacturing and Distribution     | 5.58                    | -           | (12.23)                   | -                    | -                          | 0.78     | 0.12                   |                     |
| Tata Steel Technical Services Limited                                                         | Subsidiary    | India   | Other Services                                  | 257.88                  | (2.05)      | 4.70                      | (1.11)               | 33.07                      | 1.81     | 15.66                  |                     |
| Tata Steel Utilities And Infrastructure Services Limited                                      | Subsidiary    | India   | Administrative, Management and Support Services | 1,745.39                | 23.59       | 135.79                    | 32.92                | 102.44                     | 45.57    | 26.34                  |                     |

| Entity Name                                                | Relation      | Country     | Business Description                                    | Revenue From Operations | Tax Expense | Profit/(loss) before tax | Direct Contributions |                            |          | Indirect Contributions | Other Contributions |
|------------------------------------------------------------|---------------|-------------|---------------------------------------------------------|-------------------------|-------------|--------------------------|----------------------|----------------------------|----------|------------------------|---------------------|
|                                                            |               |             |                                                         |                         |             |                          | Income Tax Paid      | Other Direct Contributions |          |                        |                     |
| (₹ crore)                                                  |               |             |                                                         |                         |             |                          |                      |                            |          |                        |                     |
| The Tata Pigments Limited                                  | Subsidiary    | India       | Procurement, Manufacturing and Research and Development | 222.48                  | 3.84        | 13.11                    | 3.55                 | 6.20                       | 5.76     | 0.65                   |                     |
| TKM Global Logistics Limited                               | Joint Venture | India       | Support Services                                        | 20.41                   | 0.50        | 24.45                    | (1.21)               | 1.03                       | 1.39     | 0.13                   |                     |
| TM International Logistics Limited                         | Joint Venture | India       | Support Services                                        | 978.18                  | 16.10       | 129.49                   | 0.21                 | 11.07                      | 28.49    | 0.79                   |                     |
| Thrivani Pellets Private Limited                           | Subsidiary    | India       | Iron ore pellet producer                                | -                       | (0.01)      | (20.70)                  | -                    | -                          | 1.36     | -                      |                     |
| Tata Steel (Thailand) Public Company Limited               | Subsidiary    | Thailand    | Support Services                                        | 108.96                  | 2.16        | 88.59                    | 1.98                 | 4.81                       | 6.28     | 3.83                   |                     |
| Tata Steel Manufacturing (Thailand) Public Company Limited | Subsidiary    | Thailand    | Manufacturing                                           | 7,634.77                | 129.96      | 670.59                   | 72.99                | 44.96                      | 21.69    | 11.37                  |                     |
| The Siam Industrial Wire Company Ltd.                      | Subsidiary    | Thailand    | Manufacturing                                           | 1,562.41                | 8.87        | 34.72                    | 4.04                 | -23.42                     | 7.64     | 5.54                   |                     |
| TSN Wires Co., Ltd.                                        | Subsidiary    | Thailand    | Manufacturing                                           | 300.64                  | -           | (0.77)                   | -                    | 2.89                       | 1.31     | 1.29                   |                     |
| Abja Investment Co. Pte. Ltd.                              | Subsidiary    | Singapore   | Group Finance                                           | -                       | 1.04        | (0.02)                   | 1.16                 | -                          | -        | -                      |                     |
| T S Global Holdings Pte Ltd.                               | Subsidiary    | Singapore   | Holding Company                                         | -                       | 117.52      | 110.24                   | 4.17                 | 20.22                      | -        | -                      |                     |
| T S Global Procurement Company Pte. Ltd.                   | Subsidiary    | Singapore   | Group Finance, Procurement and Distribution             | 42,500.27               | 62.31       | 369.23                   | 39.63                | 0.02                       | 1900     | 1.01                   |                     |
| T Steel Holdings Pte. Ltd.                                 | Subsidiary    | Singapore   | Holding Company                                         | -                       | 0.01        | (0.49)                   | 0.02                 | -                          | -        | -                      |                     |
| Tata NYK Shipping Pte Ltd.                                 | Joint Venture | Singapore   | Shipping Service                                        | 1,360.61                | 0.19        | 40.48                    | 0.06                 | 0.62                       | 0.13     | 2.05                   |                     |
| Tata Steel Minerals Canada Limited                         | Subsidiary    | Canada      | Manufacturing                                           | 1,928.83                | -           | (1,925.42)               | -                    | 10.73                      | 39.28    | 1.20                   |                     |
| Orchid Netherlands (No.1) B.V.                             | Subsidiary    |             | Sales Office                                            |                         |             |                          |                      |                            |          |                        |                     |
| Huizenbezit "Breesaap" B.V.                                | Subsidiary    |             | Other Services                                          |                         |             |                          |                      |                            |          |                        |                     |
| S A B Profiel B.V.                                         | Subsidiary    |             | Manufacturing                                           |                         |             |                          |                      |                            |          |                        |                     |
| Service Centre Maastricht B.V.                             | Subsidiary    |             | Manufacturing and Distribution                          |                         |             |                          |                      |                            |          |                        |                     |
| Tata Steel Umulden BV                                      | Subsidiary    |             | Manufacturing                                           |                         |             |                          |                      |                            |          |                        |                     |
| Tata Steel Nederland BV                                    | Subsidiary    |             | Holding Company and Group Finance                       |                         |             |                          |                      |                            |          |                        |                     |
| Tata Steel Nederland Consulting & Technical Services BV    | Subsidiary    | Netherlands | Holding Company                                         | 62,926.62               | (1,310.93)  | (2,818.81)               | 21.85                | 561.21                     | 2,609.84 | 1,325.17               |                     |
| Tata Steel Nederland Services BV                           | Subsidiary    |             | Group Support Services                                  |                         |             |                          |                      |                            |          |                        |                     |
| Tata Steel Nederland Technology BV                         | Subsidiary    |             | Provider of Research and Development                    |                         |             |                          |                      |                            |          |                        |                     |
| Tata Steel Nederland Tubes BV                              | Subsidiary    |             | Manufacturing                                           |                         |             |                          |                      |                            |          |                        |                     |
| Grijze Poort B.V.                                          | Subsidiary    |             | Other Services                                          |                         |             |                          |                      |                            |          |                        |                     |
| Tata Steel Netherlands Holdings B.V.                       | Subsidiary    |             | Holding Company and Group Finance                       |                         |             |                          |                      |                            |          |                        |                     |
| LAG Velsen B.V.                                            | Subsidiary    |             | Power production                                        |                         |             |                          |                      |                            |          |                        |                     |

| Entity Name                                      | Relation      | Country | Business Description                                                            | Revenue From Operations | Tax Expense | Profit/(loss) before tax | Direct Contributions |                            |        | Indirect Contributions | Other Contributions |
|--------------------------------------------------|---------------|---------|---------------------------------------------------------------------------------|-------------------------|-------------|--------------------------|----------------------|----------------------------|--------|------------------------|---------------------|
|                                                  |               |         |                                                                                 |                         |             |                          | Income Tax Paid      | Other Direct Contributions |        |                        |                     |
|                                                  |               |         |                                                                                 |                         |             |                          |                      |                            |        |                        |                     |
| (₹ crore)                                        |               |         |                                                                                 |                         |             |                          |                      |                            |        |                        |                     |
| Tata Steel Europe Limited                        | Subsidiary    |         | Holding Company and Group Finance                                               |                         |             |                          |                      |                            |        |                        |                     |
| Corus International (Overseas Holdings) Limited  | Subsidiary    |         | Holding Company and Group Finance                                               |                         |             |                          |                      |                            |        |                        |                     |
| Tata Steel UK Limited                            | Subsidiary    |         | Manufacturing                                                                   |                         |             |                          |                      |                            |        |                        |                     |
| TS South Africa Sales Office Proprietary Limited | Subsidiary    |         | Sales Office                                                                    |                         |             |                          |                      |                            |        |                        |                     |
| UK Steel Enterprise Limited                      | Subsidiary    | UK      | Regeneration of steel communities, Investing in and supporting local businesses | 23,590.73               | (326.61)    | (3,549.69)               | (236.60)             | 1,358.87                   | 777.73 | 454.74                 |                     |
| Air Products Llanwern Limited                    | Joint Venture |         | Manufacturing                                                                   |                         |             |                          |                      |                            |        |                        |                     |
| Ravenscraig Limited                              | Joint Venture |         | Community Economic Regeneration                                                 |                         |             |                          |                      |                            |        |                        |                     |
| Texturing Technology Limited                     | Joint Venture |         | Manufacturing                                                                   |                         |             |                          |                      |                            |        |                        |                     |
| Tata Steel France Holdings SAS                   | Subsidiary    | France  | Holding and Group Finance                                                       | -                       | (0.62)      | (12.69)                  | 3.12                 | -                          | -      | -                      | -                   |
| Tata Steel International (France) SAS            | Subsidiary    | France  | Sales Office                                                                    | -                       | 1.31        | 4.91                     | 1.31                 | 0.06                       | 0.76   | 3.89                   |                     |
| Tata Steel Maubeuge SAS                          | Subsidiary    | France  | Manufacturing                                                                   | 4,793.27                | 30.12       | 199.66                   | -                    | 89.42                      | 8.90   | 99.01                  |                     |
| Unitol SAS                                       | Subsidiary    | France  | Manufacturing and Distribution                                                  | 1,529.08                | 2.13        | 33.31                    | -                    | 267.64                     | 0.24   | 19.58                  |                     |
| Catnic GmbH                                      | Subsidiary    | Germany | Sales Office                                                                    | 241.12                  | 4.34        | 14.49                    | 1.93                 | 9.69                       | 3.28   | 3.72                   |                     |
| Degels GmbH                                      | Subsidiary    | Germany | Steel Processing                                                                | -                       | 5.39        | (2.29)                   | 13.46                | (0.25)                     | 0.11   | -                      |                     |
| Fischer Profil GmbH                              | Subsidiary    | Germany | Manufacturing and Distribution                                                  | 1,122.27                | (0.11)      | (5.81)                   | -                    | 71.19                      | 12.13  | 14.43                  |                     |
| Fischer Profil Produktions -und-Vertriebs - GmbH | Subsidiary    | Germany | Support Services                                                                | -                       | -           | -                        | -                    | (0.29)                     | 8.45   | 10.83                  |                     |
| Hille & Muller GmbH                              | Subsidiary    | Germany | Manufacturing                                                                   | 915.97                  | (0.59)      | (9.43)                   | -                    | 30.12                      | 27.02  | 34.13                  |                     |
| S A B Profil GmbH                                | Subsidiary    | Germany | Manufacturing                                                                   | 396.29                  | 0.32        | 9.01                     | 0.69                 | 68.94                      | 2.91   | 4.68                   |                     |
| Service Center Gelsenkirchen GmbH                | Subsidiary    | Germany | Manufacturing                                                                   | 1,376.53                | (0.69)      | 21.41                    | -                    | 96.01                      | 13.37  | 17.05                  |                     |
| Tata Steel Germany GmbH                          | Subsidiary    | Germany | Holding Company                                                                 | -                       | (4.96)      | (22.68)                  | (8.32)               | 0.94                       | 4.30   | 1.35                   |                     |
| Tata Steel International (Germany) GmbH          | Subsidiary    | Germany | Sales Office                                                                    | -                       | (3.19)      | 11.99                    | -                    | (1.02)                     | 6.09   | 1.71                   |                     |
| TKM Global GmbH                                  | Joint Venture | Germany | Support Services                                                                | 38.60                   | 1.54        | 5.22                     | 1.66                 | -                          | -      | -                      |                     |
| Apollo Metals Limited                            | Subsidiary    | USA     | Manufacturing                                                                   | 385.59                  | 0.16        | 6.86                     | 0.37                 | 0.53                       | 6.52   | 1.65                   |                     |
| Hille & Muller Usa Inc.                          | Subsidiary    | USA     | Distribution                                                                    | 1982                    | -           | 0.71                     | -                    | 0.76                       | -      | -                      |                     |
| Hoogovens Usa Inc.                               | Subsidiary    | USA     | Holding Company                                                                 | -                       | (2.99)      | (2.69)                   | 0.33                 | -                          | -      | -                      |                     |
| Tata Steel International (Americas) Holdings Inc | Subsidiary    | USA     | Holding Company and Group Finance                                               | -                       | 17.99       | (1.81)                   | 15.35                | -                          | -      | -                      |                     |
| Tata Steel International (Americas) Inc          | Subsidiary    | USA     | Sales Office                                                                    | 238.50                  | 0.34        | 88.13                    | 0.33                 | 13.23                      | 7.79   | 2.36                   |                     |
| Thomas Processing Company                        | Subsidiary    | USA     | Manufacturing                                                                   | 27.28                   | -           | 12.21                    | -                    | 0.43                       | -      | -                      |                     |
| Thomas Steel Strip Corp.                         | Subsidiary    | USA     | Manufacturing                                                                   | 1,092.06                | -           | 11.82                    | 0.24                 | 4.25                       | 21.36  | 12.33                  |                     |
| Layde Steel S.L.                                 | Subsidiary    | Spain   | Manufacturing                                                                   | 1,656.85                | 4.17        | 32.97                    | -                    | 275.74                     | 17.27  | 22.57                  |                     |

| Entity Name                                                  | Relation      | Country        | Business Description                           | Revenue From Operations | Tax Expense | Profit/(loss) before tax | Direct Contributions |                            |                        | Other Contributions | Other Contributions |
|--------------------------------------------------------------|---------------|----------------|------------------------------------------------|-------------------------|-------------|--------------------------|----------------------|----------------------------|------------------------|---------------------|---------------------|
|                                                              |               |                |                                                |                         |             |                          | Income Tax Paid      | Other Direct Contributions | Indirect Contributions |                     |                     |
| Tata Steel International Iberica SA                          | Subsidiary    | Spain          | Sales Office                                   | -                       | 6.58        | 26.03                    | 4.45                 | 0.03                       | 2.62                   | 2.69                |                     |
| Halmstad Steel Service Centre AB                             | Subsidiary    | Sweden         | Manufacturing and Distribution                 | 1,093.16                | 5.25        | 35.00                    | 5.26                 | 218.38                     | 8.58                   | 11.12               |                     |
| Tata Steel International (Sweden) AB                         | Subsidiary    | Sweden         | Sales Office                                   | -                       | 2.39        | 11.59                    | 2.39                 | 0.39                       | 1.97                   | 2.05                |                     |
| Surahmmar Bruks AB                                           | Subsidiary    | Sweden         | Manufacturing                                  | 413.62                  | -           | (53.11)                  | -                    | -                          | 0.02                   | 0.02                |                     |
| Societe Europeenne De Galvanisation (Segal) Sa               | Subsidiary    | Belgium        | Manufacturing                                  | 840.08                  | 7.09        | 24.63                    | 7.26                 | (36.33)                    | 29.29                  | 33.46               |                     |
| Tata Steel Belgium Packaging Steels N.V.                     | Subsidiary    | Belgium        | Manufacturing                                  | 124.34                  | 1.43        | 1.97                     | 1.81                 | (4.49)                     | 4.21                   | 11.59               |                     |
| Tata Steel Belgium Services N.V.                             | Subsidiary    | Belgium        | Group Support Services                         | -                       | 1.60        | 5.33                     | 1.20                 | (0.34)                     | 4.86                   | 3.56                |                     |
| Montana Bausysteme AG                                        | Subsidiary    | Switzerland    | Manufacturing                                  | 680.53                  | 4.07        | 27.43                    | (1.24)               | 5.44                       | 1.00                   | 17.25               |                     |
| Naantali Steel Service Centre OY                             | Subsidiary    | Finland        | Distribution                                   | 594.08                  | -           | 18.10                    | -                    | 111.35                     | 5.61                   | 0.46                |                     |
| Norsk Stal Tynnplater AS                                     | Subsidiary    | Norway         | Distribution                                   | 114.05                  | 5.65        | 61.85                    | -                    | 26.98                      | 1.75                   | -                   |                     |
| Tata Steel Norway Byggsystemer A/S                           | Subsidiary    | Norway         | Manufacturing                                  | 310.14                  | 1.52        | 4.74                     | 2.61                 | 67.32                      | 9.05                   | 4.60                |                     |
| Tata Steel International (Middle East) FZE                   | Subsidiary    | UAE            | Sales Office                                   | 282.36                  | 12.13       | 77.94                    | -                    | 4.40                       | -                      | -                   |                     |
| Minas De Benga (Mauritius) Limited                           | Joint Venture | Mauritius      | Holding Company                                | 61.90                   | -           | (267.07)                 | -                    | 6.31                       | 3.79                   | -                   |                     |
| Tata Steel International (Shanghai) Ltd.                     | Subsidiary    | China          | Procurement, Distribution and Support Services | 14.40                   | 0.04        | 0.26                     | 0.03                 | 0.82                       | -                      | 1.19                |                     |
| TKM Global China Ltd                                         | Joint Venture | China          | Support Services                               | 1093                    | 0.01        | (0.73)                   | 0.01                 | -                          | -                      | -                   |                     |
| Tata Steel International (South America) Representações LTDA | Subsidiary    | Brazil         | Sales Office                                   | -                       | (0.10)      | 0.17                     | 0.26                 | 0.22                       | 0.05                   | -                   |                     |
| Tata Steel International (Czech Republic) S.R.O              | Subsidiary    | Czech Republic | Sales Office                                   | -                       | 1.57        | 7.35                     | 2.33                 | -                          | 0.48                   | 1.56                |                     |
| Corus Ireland Limited                                        | Subsidiary    | Ireland        | Distribution                                   | -                       | (0.40)      | 0.10                     | 0.03                 | (0.11)                     | 0.04                   | 0.02                |                     |
| Tata Steel International (Italia) SRL                        | Subsidiary    | Italy          | Sales Office                                   | -                       | 3.44        | 10.43                    | 1.80                 | (0.26)                     | 1.91                   | 2.21                |                     |
| Tata Steel Mexico SA de CV                                   | Subsidiary    | Mexico         | Distribution                                   | -                       | -           | 0.83                     | 3.70                 | 15.23                      | 19.71                  | -                   |                     |
| Tata Steel International (Poland) sp Zoo                     | Subsidiary    | Poland         | Sales Office                                   | -                       | 0.92        | 7.76                     | 0.74                 | 0.29                       | 0.82                   | 0.77                |                     |
| Corus International Romania SRL                              | Subsidiary    | Romania        | Sales Office                                   | -                       | 0.19        | 1.88                     | 0.18                 | -                          | 0.07                   | 0.03                |                     |

**Notes:**

1. These taxes are the actual payments made net of refunds received during the year. Any negative value is on account of availing refund/credit/incentives as extended by local jurisdictional tax laws.
2. We are disclosing the data for the limited purpose of this report only. It may differ from the amounts reported in the 11<sup>th</sup> Integrated Report and 119<sup>th</sup> Annual Accounts for FY2025-26 and the various tax returns/reportings to some extent, which are prepared on an accrual basis.
3. The contributions by each entity should be read in conjunction with the Basis of Preparation of this report along with Note I, II & IV of AOC 1 Part A of the 11<sup>th</sup> Integrated Report and 119<sup>th</sup> Annual Accounts for FY2025-26.
4. The closing rate for March 31, 2026 has been considered for converting the foreign currency numbers into ₹.
5. Non operative/dormant entities are not considered for reporting.

## Basis of Preparation

### Coverage

The contributions presented in this report are summarised under the categories of direct, indirect and other contributions on cash basis i.e., taxes actually paid during the FY2025-26, irrespective of the period to which the underlying tax liabilities relate. Consequently, these figures may differ from our data to some extent, as our disclosures are prepared in accordance with OECD CbCR rules and may also vary from the amounts reported in the 11<sup>th</sup> Integrated Report and 119<sup>th</sup> Annual Accounts for FY2025-26, which are prepared on an accrual basis. The classification reflects the Company's understanding of the nature of each payment and the associated payment mechanism.

### Reporting Entities

The Global Tax and Other Contributions to Government reported herein pertain to Tata Steel Limited, its subsidiaries, and Joint Ventures (excluding Associates). Contributions from Tata Steel Limited and its subsidiaries are reported on a 100% basis, while contributions from Joint Ventures are reported in proportion to Tata Steel's shareholding interest.

Entities that were liquidated, under liquidation, yet to commence operations, or had insignificant operations as of March 31, 2026, have been excluded, unless such entities made tax payments during the reporting year, in which case they are included. A complete list of entities covered is provided in the 'Entity' column under 'Contribution by Entity'. For Tata Steel's European businesses in the UK and in the Netherlands, tax compliances are done at a group level. For Tata Steel's European businesses certain local taxes follow calendar year accounting (January to December), whereas our reporting period is April to March. Thus, considering the above, where April to March tax payout was not available, we have reported such taxes for calendar year.

### Methodology

#### GRI Tax Transparency Standard

The Global Reporting Initiative (GRI) 207: Tax (2019) is an independent, international organisation that helps businesses and other organisations take responsibility for their impacts, by providing them with the global tax standards required to communicate those impacts.

#### B Teams

A global collective of business and civil society leaders driving a better way of doing business for people and the planet.

### Extractive Industries Transparency Initiative (EITI)

A multi-stakeholder organisation comprising governments of implementing and supporting countries, companies and civil society organisations.

### Business Responsibility and Sustainability Report (BRSR)

Quantitative and standardised ESG disclosures to enable comparability across companies, sectors, and time.

### Environmental, Social and Governance (ESG)

ESG stands for Environmental, Social and Governance, a framework used to evaluate a company's sustainability and ethical practices.

### Currency

The currency considered for this report (or the reporting currency) is the Indian Rupee (₹). The data for Global Tax and Other Contributions to Government provided by any subsidiary in their local reporting currency, has been converted to ₹ based on the exchange rate that has been considered in preparation of Form AOC-01. In case of Joint Ventures entities, where similar data is not reported in the said form, reference is made to exchange rate used by any subsidiary reporting in the same currency as the Joint Ventures entity.

### Global Tax and Other Contributions

We have reported Global Tax & Other Contributions under cash basis unless otherwise mentioned below. The reporting methodology followed for each type of Global Tax & Other Contributions has been detailed below.

### Direct Contributions

#### Corporate Tax

This includes corporate income tax paid during the financial year, net of refunds received, relating to current and prior year tax liabilities. This also includes Trade/ State tax and Surcharge & Cess as applicable. Deferred tax is excluded.

#### Mining Royalty and Charges

These comprise royalties and other statutory payments made to governments in connection with mining operations, including charges related to the extraction of minerals and metals.

### Other Taxes and Charges

This category includes taxes, cesses and charges such as water cess, electricity duties, stamp duty, property tax, municipal levies, motor vehicle tax, road cess, land revenue and other similar taxes borne by the Company.

### Net Indirect Taxes

Reported amounts represent indirect taxes remitted to government treasuries on a cash basis, including taxes paid under reverse charge mechanisms and import related indirect taxes paid in cash. Taxes embedded in procurement payments to vendors are excluded.

### Indirect Contributions

Indirect contributions include withholding taxes (tax deducted at source) on payments to employees, vendors and service providers; taxes collected from customers; and other payroll related taxes. These amounts are withheld or collected by the Company on behalf of the government and remitted in accordance with applicable laws.

### Other Contributions

Other contributions represent statutory, non tax payments made by the employer for the benefit of employees, including contributions to social security programmes such as provident fund, pension schemes, national insurance and employee state insurance.

## Tax & Other Contributions

| DIRECT CONTRIBUTIONS       |                                                                        | OTHER CHARGES |                                      |
|----------------------------|------------------------------------------------------------------------|---------------|--------------------------------------|
| CORPORATE TAX              |                                                                        |               |                                      |
| 1.                         | Corporate income tax (includes any trade/ state tax, surcharge & cess) | 1.            | Stamp duty                           |
| 2.                         | Corporate tax credit and incentives                                    | 2.            | Property tax                         |
|                            |                                                                        | 3.            | Water cess/ charges                  |
|                            |                                                                        | 4.            | Gas & electricity duties             |
|                            |                                                                        | 5.            | Land revenue                         |
|                            |                                                                        | 6.            | Landfill disposal tax                |
|                            |                                                                        | 7.            | Waste disposal tax                   |
|                            |                                                                        | 8.            | Motor vehicle tax                    |
|                            |                                                                        | 9.            | Road cess                            |
|                            |                                                                        | 10.           | Municipal taxes                      |
|                            |                                                                        | 11.           | Trade/ Factory license               |
|                            |                                                                        | 12.           | Clean energy taxes                   |
|                            |                                                                        | 13.           | Signboard taxes                      |
|                            |                                                                        | 14.           | Companies' added value contribution  |
|                            |                                                                        | 15.           | Recycling tax or climate change levy |
|                            |                                                                        | 16.           | Air monitoring & pollution license   |
|                            |                                                                        | 17.           | Pollution levy national waters       |
|                            |                                                                        | 18.           | Pollution control fees               |
|                            |                                                                        | 19.           | Forest transit fees & Produce cess   |
|                            |                                                                        | 20.           | Welfare cess                         |
| MINING AND ROYALTY CHARGES |                                                                        |               |                                      |
| 1.                         | Mining royalties (includes management/user fees)                       |               |                                      |
| 2.                         | District Mineral Fund                                                  |               |                                      |
| 3.                         | National Mineral Exploration Trust                                     |               |                                      |
| 4.                         | Jharkhand Mineral Bearing Land Cess                                    |               |                                      |
| NET INDIRECT TAXES         |                                                                        |               |                                      |
| 1.                         | Goods and Services Tax (GST)                                           |               |                                      |
| 2.                         | Custom duties (all types)                                              |               |                                      |
| 3.                         | Value Added Tax                                                        |               |                                      |
| 4.                         | Sales and Use Tax                                                      |               |                                      |

## INDIRECT CONTRIBUTIONS

### WITHHOLDING & PAYROLL TAXES

1. Tax collected at source for sale to customers
2. Withholding taxes collected from employees/ Payroll taxes
3. Withholding taxes collected from vendors
4. Withholding taxes collected from shareholders
5. Professional taxes
6. Foreign worker levy/ Work permit levy

## OTHER CONTRIBUTIONS

### OTHER CONTRIBUTIONS

1. Provident Fund
2. Employee Pension Scheme
3. Employee State Insurance
4. Labour Welfare Fund
5. National Insurance
6. Coal Mines Provident Fund & Pension Scheme
7. Social Security Fund
8. Compensation Funds
9. Disable Person Funds
10. Turnover Tax

**Note 3:** For total contributions by respective reporting entities in the European businesses, the threshold limit has been set in absolute terms to ₹ 0.20 crore. However, in some cases, entities below this threshold have also been included wherever required data and documents were available.

**Note 4:** For Tata Steel's European businesses in the UK, refunds under VAT/ Corporate tax due to the group is allowed to be offset against other statutory liabilities (i.e., VAT refund against corporate tax liability and vice versa). While such adjustment was carried out in the statutory compliances being reported to tax authorities, we have considered for this report, the respective gross figures (payments or refunds as applicable) under respective heads.

### Excluded/ Exception

**Note 1:** The Global Tax and Other Contributions statement does not include payments of indirect taxes on procurements made to vendors, nor does it cover any fees paid to the government or its authorities for compliance-related activities, regulatory filings or similar statutory requirements.

**Note 2:** An effort has been made to report all types of taxes, duties, levies for all entities (as referred to in the 'Entity' column under 'Contribution by Entity'). Any omission or exclusion is unintentional and not expected to have any material impact.

# Financial Statements

---

---

## Highlights

|                       |    |
|-----------------------|----|
| Financial Highlights  | F2 |
| Financial Ratios      | F3 |
| Production Statistics | F4 |
| Financial Statistics  | F4 |
| Dividend Statistics   | F5 |

## Standalone

|                                                           |     |
|-----------------------------------------------------------|-----|
| Independent Auditor's Report                              | F6  |
| Balance Sheet                                             | F24 |
| Statement of Profit and Loss                              | F25 |
| Statement of Changes in Equity                            | F26 |
| Statement of Cash Flows                                   | F28 |
| Notes forming part of the Standalone Financial Statements | F30 |

## Consolidated

|                                                             |      |
|-------------------------------------------------------------|------|
| Independent Auditor's Report                                | F130 |
| Consolidated Balance Sheet                                  | F142 |
| Consolidated Statement of Profit and Loss                   | F144 |
| Consolidated Statement of Changes in Equity                 | F146 |
| Consolidated Statement of Cash Flows                        | F148 |
| Notes forming part of the Consolidated Financial Statements | F150 |

## FINANCIAL HIGHLIGHTS

(₹ crore)

|                                          | Tata Steel Standalone |             | Tata Steel Group |             |
|------------------------------------------|-----------------------|-------------|------------------|-------------|
|                                          | 2025-26               | 2024-25     | 2025-26          | 2024-25     |
| Revenue from operations                  | 1,39,720.22           | 1,32,516.66 | 2,32,139.94      | 2,18,542.51 |
| Profit/Loss before tax                   | 21,353.10             | 18,718.84   | 15,968.69        | 8,412.87    |
| Profit/Loss after tax                    | 16,065.13             | 13,969.70   | 10,885.82        | 3,173.78    |
| Dividend paid                            | 4,494.07              | 4,494.07    | 4,489.87         | 4,489.87    |
| Retained earnings                        | 1,21,545.86           | 1,09,729.39 | 39,674.80        | 33,698.53   |
| Capital employed                         | 1,94,312.05           | 1,64,172.78 | 1,82,997.66      | 1,58,961.63 |
| Net worth                                | 1,32,345.31           | 1,23,543.94 | 98,768.46        | 87,770.44   |
| Borrowings (including lease liabilities) | 69,049.27             | 63,223.39   | 92,381.68        | 94,801.05   |
|                                          | Ratio                 |             | Ratio            |             |
| Net Debt to Equity                       | 0.50                  | 0.44        | 0.82             | 0.90        |
|                                          | ₹                     |             | ₹                |             |
| Net worth per Share as at year end       | 106.02                | 98.97       | 79.19            | 70.37       |
| <b>Earnings per Share:</b>               |                       |             |                  |             |
| Basic                                    | 12.87                 | 11.19       | 8.65             | 2.74        |
| Diluted                                  | 12.87                 | 11.19       | 8.65             | 2.74        |
| Dividend per Ordinary Share              | 4.00                  | 3.60        | 4.00             | 3.60        |
| Shareholders (Numbers)                   | 52,21,338             | 60,25,709   | -                | -           |

## FINANCIAL RATIOS

|                                       | Tata Steel Standalone |         | Tata Steel Group |         |
|---------------------------------------|-----------------------|---------|------------------|---------|
|                                       | 2025-26               | 2024-25 | 2025-26          | 2024-25 |
| 1. EBITDA/Turnover                    | 23.64%                | 21.29%  | 15.01%           | 11.81%  |
| 2. PBET/Turnover                      | 16.07%                | 14.81%  | 7.32%            | 4.24%   |
| 3. Return on average capital employed | 14.49%                | 13.34%  | 13.60%           | 9.82%   |
| 4. Return on average equity           | 12.25%                | 10.43%  | 11.16%           | 3.45%   |
| 5. Asset turnover                     | 78.40%                | 73.06%  | 78.98%           | 80.01%  |
| 6. Inventory turnover (in days)       | 62                    | 67      | 73               | 80      |
| 7. Debtors turnover (in days)         | 4                     | 4       | 8                | 10      |
| 8. Gross block to net block           | 1.44                  | 1.40    | 1.71             | 1.65    |
| 9. Net debt to equity                 | 0.50                  | 0.44    | 0.82             | 0.90    |
| 10. Current ratio                     | 0.58                  | 0.69    | 0.80             | 0.90    |
| 11. Interest service coverage ratio   | 8.08                  | 9.94    | 4.72             | 3.12    |
| 12. Net worth per share (₹)           | 106.02                | 98.97   | 79.19            | 70.37   |
| 13. Basic earnings per share (₹)      | 12.87                 | 11.19   | 8.65             | 2.74    |
| 14. Dividend payout                   | 31%                   | 32%     | 46%              | 141%    |
| 15. P/E ratio                         | 14.91                 | 13.78   | 22.17            | 56.29   |

- |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>1. EBITDA/Turnover<br/>(EBITDA: Profit before tax +/- Exceptional items + Net finance charges + Depreciation and amortisation - Share of results of equity accounted investments)<br/>(Net Finance Charges: Finance costs - Interest income - Dividend income from current investments - Net gain/(loss) on sale of current investments)<br/>(Turnover: Revenue from operations)</p> <p>2. PBET/Turnover<br/>(PBET: Profit before exceptional items and tax)</p> <p>3. Return on Average Capital Employed: EBIT/Average Capital Employed<br/>(Capital Employed: Total Equity + Non-current and Current borrowings + Non-current and current lease liabilities + Deferred tax liabilities - Capital work-in-progress - Intangible assets under development)<br/>(EBIT: Profit before tax +/- Exceptional items + Net finance charges)</p> <p>4. Return on Average Equity: PAT/Average Equity<br/>(Equity: Equity share capital + Other equity + Non controlling interest)</p> <p>5. Asset Turnover: Turnover/(Total Assets - Investments - Advance Against Equity - Assets held for sale)</p> <p>6. Inventory Turnover: Average Inventory/Sale of Products in days</p> <p>7. Debtors Turnover: Average Trade receivables/Turnover in days</p> <p>8. Gross Block to Net Block: Gross Block/Net Block</p> | <p>(Gross Block: Cost of property, plant and equipment + Cost of right-of-use assets + Capital work-in-progress + Cost of intangible assets + Intangible assets under development)<br/>(Net Block: Gross Block - Accumulated depreciation and amortisation - Accumulated impairment)</p> <p>9. Net Debt to Equity: Net Debt/Average Equity<br/>(Net debt: Non-current and Current borrowings + Non-current and current lease liabilities - Current investments - Cash and cash equivalents - Other balances with banks (including non-current earmarked balances) - Foreign currency hedges against borrowings)</p> <p>10. Current Ratio: Total Current Assets/Current Liabilities<br/>(Current liabilities: Total Current liabilities - Current maturities of Non-current borrowings and Lease obligations)</p> <p>11. Interest Service Coverage Ratio: EBIT/Net Finance Charges<br/>(Net Finance Charges: Finance costs (excluding interest on current borrowings) - Interest income - Dividend income from current investments - Net gain/(loss) on sale of current investments)</p> <p>12. Net worth per share: Net Worth/Number of Equity Shares<br/>(Net worth: Equity share capital + Other equity - Capital reserve - Capital reserve on consolidation - Amalgamation reserve)</p> <p>13. Basic Earnings per share: Profit attributable to Ordinary Shareholders/Weighted average number of Ordinary Shares</p> <p>14. Dividend Payout: Proposed dividend for the year/Profit after tax</p> <p>15. P/E Ratio: Market Price per share/Basic Earnings per share</p> |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

## PRODUCTION STATISTICS

'000 Tonnes

| Year                 | Iron Ore | Coal  | Iron (Hot metal) | Crude steel | Rolled/ Forged Bars and Structural | Plates | Sheets | Hot Rolled Coils/ Strips | Cold Rolled Coils | Railway Materials | Semi-Finished for Sale | Total Saleable Steel |
|----------------------|----------|-------|------------------|-------------|------------------------------------|--------|--------|--------------------------|-------------------|-------------------|------------------------|----------------------|
| 1996-97              | 5,766    | 5,294 | 3,440            | 3,106       | 666                                | -      | 114    | 1,228                    | -                 | -                 | 811                    | 2,783                |
| 1997-98              | 5,984    | 5,226 | 3,513            | 3,226       | 634                                | 0      | 60     | 1,210                    | -                 | 0                 | 1,105                  | 2,971                |
| 1998-99              | 6,056    | 5,137 | 3,626            | 3,264       | 622                                | 0      | 0      | 1,653                    | -                 | 0                 | 835                    | 3,051                |
| 1999-00              | 6,456    | 5,155 | 3,888            | 3,434       | 615                                | 0      | 0      | 2,057                    | -                 | 0                 | 615                    | 3,262                |
| 2000-01              | 6,989    | 5,282 | 3,929            | 3,566       | 569                                | 0      | 0      | 1,858                    | 356               | 0                 | 647                    | 3,413                |
| 2001-02              | 7,335    | 5,636 | 4,041            | 3,749       | 680                                | 0      | 0      | 1,656                    | 734               | 0                 | 566                    | 3,596                |
| 2002-03              | 7,985    | 5,915 | 4,437            | 4,098       | 705                                | 0      | 0      | 1,563                    | 1,110             | 0                 | 563                    | 3,975                |
| 2003-04              | 8,445    | 5,842 | 4,466            | 4,224       | 694                                | 0      | 0      | 1,578                    | 1,262             | 0                 | 555                    | 4,076                |
| 2004-05              | 9,803    | 6,375 | 4,347            | 4,104       | 706                                | 0      | 0      | 1,354                    | 1,445             | 0                 | 604                    | 4,074                |
| 2005-06              | 10,834   | 6,521 | 5,177            | 4,731       | 821                                | 0      | 0      | 1,556                    | 1,495             | 0                 | 679                    | 4,551                |
| 2006-07              | 9,776    | 7,041 | 5,552            | 5,046       | 1,230                              | 0      | 0      | 1,670                    | 1,523             | 0                 | 506                    | 4,929                |
| 2007-08              | 10,022   | 7,209 | 5,507            | 5,014       | 1,241                              | 0      | 0      | 1,697                    | 1,534             | 0                 | 386                    | 4,858                |
| 2008-09              | 10,417   | 7,282 | 6,254            | 5,646       | 1,350                              | 0      | 0      | 1,745                    | 1,447             | 0                 | 833                    | 5,375                |
| 2009-10              | 12,044   | 7,210 | 7,231            | 6,564       | 1,432                              | 0      | 0      | 2,023                    | 1,564             | 0                 | 1,421                  | 6,439                |
| 2010-11              | 13,087   | 7,024 | 7,503            | 6,855       | 1,486                              | 0      | 0      | 2,127                    | 1,544             | 0                 | 1,534                  | 6,691                |
| 2011-12              | 13,189   | 7,460 | 7,750            | 7,132       | 1,577                              | 0      | 0      | 2,327                    | 1,550             | 0                 | 1,514                  | 6,970                |
| 2012-13              | 15,005   | 7,295 | 8,858            | 8,130       | 1,638                              | 0      | 0      | 3,341                    | 1,445             | 0                 | 1,518                  | 7,941                |
| 2013-14              | 17,364   | 6,972 | 9,899            | 9,155       | 1,676                              | 0      | 0      | 4,271                    | 1,638             | 0                 | 1,346                  | 8,931                |
| 2014-15              | 13,694   | 6,044 | 10,163           | 9,331       | 1,778                              | 0      | 0      | 4,259                    | 1,836             | 0                 | 1,200                  | 9,073                |
| 2015-16              | 16,431   | 6,227 | 10,655           | 9,960       | 1,823                              | 0      | 0      | 4,742                    | 1,689             | 0                 | 1,443                  | 9,698                |
| 2016-17              | 21,284   | 6,315 | 13,051           | 11,683      | 1,882                              | 0      | 0      | 6,295                    | 1,837             | 0                 | 1,481                  | 11,351               |
| 2017-18              | 23,043   | 6,224 | 13,855           | 12,482      | 1,882                              | 0      | 0      | 7,093                    | 1,853             | 0                 | 1,481                  | 12,237               |
| 2018-19              | 23,374   | 6,546 | 14,237           | 13,228      | 1,959                              | 0      | 0      | 7,801                    | 1,858             | 0                 | 1,386                  | 12,980               |
| 2019-20              | 26,512   | 6,210 | 14,094           | 13,152      | 1,984                              | 0      | 0      | 7,793                    | 1,713             | 0                 | 1,499                  | 12,878               |
| 2020-21*             | 28,659   | 5,853 | 17,141           | 16,277      | 1,642                              | 0      | 0      | 10,973                   | 1,806             | 0                 | 1,538                  | 15,959               |
| 2021-22              | 30,584   | 4,680 | 18,899           | 18,377      | 1,942                              | 0      | 0      | 12,382                   | 2,174             | 0                 | 1,407                  | 17,906               |
| 2022-23 <sup>#</sup> | 33,804   | 5,769 | 19,853           | 19,673      | 2,763                              | 0      | 0      | 13,122                   | 1,685             | 0                 | 1,329                  | 18,898               |
| 2023-24 <sup>#</sup> | 35,329   | 5,924 | 19,960           | 20,122      | 1,998                              | 0      | 0      | 14,430                   | 2,030             | 0                 | 1,316                  | 19,774               |
| 2024-25              | 37,363   | 6,236 | 20,892           | 20,723      | 2,699                              | 0      | 0      | 11,834                   | 3,878             | 0                 | 1,927                  | 20,338               |
| 2025-26              | 41,712   | 6,637 | 22,650           | 22,473      | 2,749                              | 0      | 0      | 12,676                   | 4,787             | 0                 | 1,833                  | 22,045               |

\* Includes production details of erstwhile Tata Steel BSL Limited pursuant to the merger.

<sup>#</sup> Includes production details of the entities merged during the year.

## FINANCIAL STATISTICS

(₹ crore)

| Year    | Capital  | Reserves and Surplus | Borrowings | Gross Block | Net Block   | Investments | Total Income | Total Expenditure* | Depreciation | Profit before Tax | Tax      | Profit after Tax | Dividend |
|---------|----------|----------------------|------------|-------------|-------------|-------------|--------------|--------------------|--------------|-------------------|----------|------------------|----------|
| 2023-24 | 1,248.60 | 1,39,980.87          | 43,836.83  | 1,74,280.71 | 1,26,488.06 | 66,825.60   | 1,44,046.14  | 1,18,532.48        | 6,008.95     | 19,504.71         | 3,842.86 | 15,661.85        | 4,414.00 |
| 2024-25 | 1,248.60 | 1,25,483.34          | 63,223.39  | 1,87,500.20 | 1,34,326.70 | 72,699.13   | 1,34,763.56  | 1,09,791.56        | 6,253.16     | 18,718.84         | 4,749.14 | 13,969.70        | 4,494.07 |
| 2025-26 | 1,248.60 | 1,34,284.71          | 69,049.27  | 1,95,800.67 | 1,35,894.39 | 94,528.65   | 1,41,885.92  | 1,13,464.14        | 7,068.68     | 21,353.10         | 5,287.97 | 16,065.13        | 4,494.07 |

\* Expenditure includes exceptional items and excludes depreciation.

## DIVIDEND STATISTICS

| Year                 | First Preference<br>(₹150) |                    | Second Preference<br>(₹100) |                                 |                              | Ordinary<br>(₹10)      |                                 |                              | Total<br>₹ lakh |
|----------------------|----------------------------|--------------------|-----------------------------|---------------------------------|------------------------------|------------------------|---------------------------------|------------------------------|-----------------|
|                      | Rate<br>₹                  | Dividend<br>₹ lakh | Rate<br>₹                   | Dividend <sup>@</sup><br>₹ lakh | Tax on<br>dividend<br>₹ lakh | Rate <sup>*</sup><br>₹ | Dividend <sup>@</sup><br>₹ lakh | Tax on<br>dividend<br>₹ lakh |                 |
| 1996-97              | –                          | –                  | –                           | –                               | –                            | 4.50                   | 18,222.25                       | 1,656.57                     | 18,222.25       |
| 1997-98              | –                          | –                  | –                           | –                               | –                            | 4.00                   | 16,198.05                       | 1,472.55                     | 16,198.05       |
| 1998-99              | –                          | –                  | –                           | –                               | –                            | 4.00                   | 16,329.05                       | 1,618.19                     | 16,329.05       |
| 1999-00              | –                          | –                  | 9.25                        | 860.80                          | 85.30                        | 4.00                   | 16,329.07                       | 1,618.20                     | 17,189.87       |
| 2000-01              | –                          | –                  | –                           | 1,496.58 <sup>a,b</sup>         | 275.88                       | 5.00                   | 20,264.09                       | 1,875.50                     | 21,760.67       |
| 2001-02              | –                          | –                  | 8.42                        | 228.33                          | 21.13                        | 4.00                   | 14,710.88                       | –                            | 14,939.21       |
| 2002-03              | –                          | –                  | –                           | –                               | –                            | 8.00                   | 33,299.88                       | 3,781.33                     | 33,299.88       |
| 2003-04              | –                          | –                  | –                           | –                               | –                            | 10.00                  | 41,625.77                       | 4,727.58                     | 41,625.77       |
| 2004-05              | –                          | –                  | –                           | –                               | –                            | 13.00                  | 82,137.22                       | 10,185.74                    | 82,137.22       |
| 2005-06              | –                          | –                  | –                           | –                               | –                            | 13.00                  | 82,042.66                       | 10,092.00                    | 82,042.66       |
| 2006-07              | –                          | –                  | –                           | –                               | –                            | 15.50                  | 1,10,432.51                     | 16,041.72                    | 1,10,432.51     |
| 2007-08              | –                          | –                  | 0.40 <sup>c</sup>           | 2,596.11                        | 377.12                       | 16.00                  | 1,36,759.54                     | 19,866.05                    | 1,39,355.65     |
| 2008-09              | –                          | –                  | 2.00                        | 12,805.48                       | 1,860.16                     | 16.00                  | 1,36,443.72                     | 19,549.31                    | 1,49,249.20     |
| 2009-10              | –                          | –                  | 2.00                        | 5,367.78                        | 779.74                       | 8.00                   | 82,477.15                       | 11,500.02                    | 87,844.93       |
| 2010-11              | –                          | –                  | –                           | –                               | –                            | 12.00                  | 1,30,777.35                     | 15,671.62                    | 1,30,777.35     |
| 2011-12              | –                          | –                  | –                           | –                               | –                            | 12.00                  | 1,34,703.22                     | 18,157.49                    | 1,34,703.22     |
| 2012-13              | –                          | –                  | –                           | –                               | –                            | 8.00                   | 90,569.91                       | 12,872.69                    | 90,569.91       |
| 2013-14              | –                          | –                  | –                           | –                               | –                            | 10.00                  | 1,03,740.40                     | 6,618.86                     | 1,03,740.40     |
| 2014-15              | –                          | –                  | –                           | –                               | –                            | 8.00                   | 92,627.74                       | 14,930.51                    | 92,627.74       |
| 2015-16              | –                          | –                  | –                           | –                               | –                            | 8.00                   | 92,471.69                       | 14,774.46                    | 92,471.69       |
| 2016-17              | –                          | –                  | –                           | –                               | –                            | 10.00                  | 1,16,893.21                     | 19,771.66                    | 1,16,893.21     |
| 2017-18              | –                          | –                  | –                           | –                               | –                            | 10.00 <sup>d</sup>     | 1,38,147.27                     | 23,554.82                    | 1,38,147.27     |
| 2018-19              | –                          | –                  | –                           | –                               | –                            | 13.00                  | 1,79,587.42                     | 30,620.57                    | 1,79,587.42     |
| 2019-20              | –                          | –                  | –                           | –                               | –                            | 10.00                  | 1,14,593.05                     | –                            | 1,14,593.05     |
| 2020-21              | –                          | –                  | –                           | –                               | –                            | 25.00                  | 2,99,660.44                     | –                            | 2,99,660.44     |
| 2021-22              | –                          | –                  | –                           | –                               | –                            | 51.00                  | 6,23,310.71                     | –                            | 6,23,310.71     |
| 2022-23 <sup>*</sup> | –                          | –                  | –                           | –                               | –                            | 3.60 <sup>^</sup>      | 4,39,975.33                     | –                            | 4,39,975.33     |
| 2023-24 <sup>*</sup> | –                          | –                  | –                           | –                               | –                            | 3.60 <sup>^</sup>      | 4,49,407.14                     | –                            | 4,49,407.14     |
| 2024-25 <sup>*</sup> | –                          | –                  | –                           | –                               | –                            | 3.60 <sup>^</sup>      | 4,49,407.14                     | –                            | 4,49,407.14     |
| 2025-26              | –                          | –                  | –                           | –                               | –                            | 4.00 <sup>^</sup>      | 4,99,341.26                     | –                            | 4,99,341.26     |

a Includes Dividend of ₹22.30 lakh on 9.25% Cumulative Redeemable Preference Shares for the period April 1, 2000 to June 27, 2000.

b Includes Dividend of ₹1,198.40 lakh on 8.42% Cumulative Redeemable Preference Shares for the period June 1, 2000 to March 31, 2001.

c Dividend paid for 74 days.

d On the Capital as increased by Rights Issue of Ordinary Shares during the financial year 2017-18.

\* Dividend proposed for the year

@ Includes tax on dividend.

^ Dividend on Ordinary Shares of ₹1 each.

# On a standalone basis (pre-merger).

## INDEPENDENT AUDITOR'S REPORT

### To the Members of Tata Steel Limited

### Report on the Audit of the Standalone Financial Statements

#### Opinion

1. We have audited the accompanying standalone financial statements of Tata Steel Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2026, and the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year then ended, and notes to the standalone financial statements, including material accounting policy information and other explanatory information.
2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally

accepted in India, of the state of affairs of the Company as at March 31, 2026, and total comprehensive income (comprising of profit and other comprehensive income), changes in equity and its cash flows for the year then ended.

#### Basis for Opinion

3. We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the "Auditor's Responsibilities for the Audit of the Standalone Financial Statements" section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

## Key audit matters

4. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

| Key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | How our audit addressed the key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>Fair value measurement of investments in equity shares of subsidiaries</p> <p>[Refer to Note 2(c) to the standalone financial statements – “Use of estimates and critical accounting judgements – Fair value measurements of financial instruments”, Note 2(l) to the standalone financial statements – “Investments in subsidiaries, associates and joint ventures”, Note 6 to the standalone financial statements – “Investments”, Note 6(iii) and 6(iv) to the standalone financial statements]</p> <p>The Company measures its equity investments in subsidiaries at fair value through other comprehensive income as per Ind AS 109 “Financial instruments”.</p> <p>The total carrying amount of equity investments in subsidiaries as on March 31, 2026 is ₹84,387.46 crores.</p> <p>The determination of fair value of the Company’s material equity investments in subsidiaries is based on management’s estimates and key assumptions that include:</p> <ul style="list-style-type: none"> <li>• Cash flow forecast including assumptions on capacity expansion and plan for decarbonisation</li> <li>• Discount rates</li> <li>• Terminal growth rate</li> <li>• Economic and entity specific factors incorporated in the fair value models.</li> </ul> <p>Significant judgements are involved in the aforesaid assumptions used in the discounted cash flow models. The accounting for investments in equity shares of subsidiaries is a key audit matter due to the uncertainty of forecasts and discounting future cash flows, being inherently subjective, and the level of management’s judgement and estimation involved.</p> | <p>Our audit procedures included the following:</p> <ul style="list-style-type: none"> <li>• Obtained an understanding from the management, assessed and tested the design and operating effectiveness of the Company’s key controls over the fair valuation of equity investment in subsidiaries.</li> <li>• Evaluated the appropriateness of the Company’s accounting policy in respect of fair valuation of investments in equity shares of subsidiaries.</li> <li>• Evaluated the Company’s process regarding fair value assessment by involving auditor’s valuation experts, where considered necessary, to assist in assessing the appropriateness of the fair value models, underlying assumptions relating to discount rate, terminal value, etc.</li> <li>• Evaluated the cash flow forecasts with the latest budgets, actual results, other supporting documents, as applicable, and our understanding of the internal and external factors.</li> <li>• Checked the mathematical accuracy of the fair value models.</li> <li>• Assessed the sensitivity of the fair value model and evaluated whether any reasonably foreseeable change in key assumptions could lead to change in fair value.</li> <li>• Discussed the management’s process, involvement of experts, key assumptions and sensitivities with those charged with governance.</li> <li>• Evaluated the adequacy of the disclosures made in the standalone financial statements.</li> </ul> |

| Key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | How our audit addressed the key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>Assessment of litigations and related disclosures of contingent liabilities</p> <p>[Refer to Note 2(c) to the standalone financial statements –“Use of estimates and critical accounting judgements- Provisions and contingent liabilities”, Note 34A to the standalone financial statements “Contingencies” and Note 35 to the standalone financial statements-“Other significant litigations”]</p> <p>As at March 31, 2026, the Company has exposures towards litigations relating to various matters as set out in the aforesaid Notes. Significant management judgement is required to assess such matters to determine the probability of occurrence of material outflow of economic resources and whether a provision should be recognised or a disclosure should be made.</p> <p>The management judgement is also supported with legal advice in certain cases, as considered appropriate. As the ultimate outcome of the matters are uncertain and the positions taken by the management are based on the application of their best judgement, related legal advice including those relating to interpretation of laws/ regulations, it is considered as a key audit matter.</p> | <p>Our audit procedures included the following:</p> <ul style="list-style-type: none"> <li>• We understood from the management, assessed and tested the design and operating effectiveness of the Company’s key controls surrounding assessment of litigations relating to the relevant laws and regulations.</li> <li>• We have reviewed the legal and other professional expenses and enquired with the management for recent developments and the status of the material litigations which were reviewed.</li> <li>• We performed our assessment on a test basis on the underlying calculations supporting the contingent liabilities /other significant litigations disclosed in the standalone financial statements.</li> <li>• We used auditor’s experts/specialists to gain an understanding and to evaluate the disputed tax matters.</li> <li>• We considered external legal opinions, where relevant, obtained by management.</li> <li>• We evaluated management’s assessments by understanding precedents set in similar cases and assessed the reliability of the management’s past estimates/judgements.</li> <li>• We evaluated management’s assessment around those matters that are not disclosed or not considered as contingent liability, as the probability of material outflow is considered to be remote by the management.</li> <li>• We assessed the adequacy of the Company’s disclosures.</li> </ul> |

## Other Information

5. The Company’s Board of Directors is responsible for the other information. The other information comprises the “Board’s Report and Annexures and Management Discussion and Analysis 2025-26” (but does not include the standalone financial statements and our auditor’s report thereon), which we obtained prior to the date of this auditor’s report, and additional information excluding those referred above that would be included in the Integrated Report (titled as ‘Tata Steel Integrated Report and Annual Accounts 2025-26’), which is expected to be made available to us after that date.

Our opinion on the standalone financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other

information identified above and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor’s report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the additional information, as mentioned above, that would be included in the Integrated Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate action as applicable under the relevant laws and regulations.

## Responsibilities of management and those charged with governance for the standalone financial statements

6. The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.
7. In preparing the standalone financial statements, Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.
8. Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

## Auditor's Responsibilities for the Audit of the Standalone Financial Statements

9. Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic

decisions of users taken on the basis of these standalone financial statements.

10. As part of an audit in accordance with SAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:
  - Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
  - Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
  - Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
  - Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
  - Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

11. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
12. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
13. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

## **Report on other legal and regulatory requirements**

14. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we give in the Annexure B a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
15. As required by Section 143(3) of the Act, we report that:
  - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
  - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books, except for the matters stated in paragraph 15(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended).
  - (c) The Balance Sheet, the Statement of Profit and Loss (including other comprehensive income), the Statement of Changes in Equity and the Statement of Cash Flows dealt with by this Report are in agreement with the books of account.
  - (d) In our opinion, the aforesaid standalone financial statements comply with the Indian Accounting Standards specified under Section 133 of the Act.
  - (e) On the basis of the written representations received from the directors as on March 31, 2026, taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2026, from being appointed as a director in terms of Section 164(2) of the Act.
  - (f) With respect to the maintenance of accounts and other matters connected therewith, reference is made to our remarks in paragraph 15(b) above and paragraph 15(h)(vi) below.
  - (g) With respect to the adequacy of the internal financial controls with reference to standalone financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A".
  - (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014 (as amended), in our opinion and to the best of our information and according to the explanations given to us:
    - i. The Company has disclosed the impact of pending litigations on its financial position in its financial statements – Refer Note 34(A) and 35 to the standalone financial statements;
    - ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
    - iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company during the year.
    - iv. (a) The management has represented that, to the best of its knowledge and belief, other than as disclosed in Note 6(x) and 7(v) to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any

- other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
- (b) The management has represented that, to the best of its knowledge and belief, as disclosed in the Note 6(xi) and 7(vi) to the standalone financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and
- (c) Based on such audit procedures that we considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (a) and (b) contain any material misstatement.
- v. The dividend declared and paid by the Company during the year in respect of the prior year ended March 31, 2025, is in accordance with Section 123 of the Act to the extent it applies to declaration and payment of dividend. As stated in Note 49 to the standalone financial statements, the Board of Directors of the Company has proposed final dividend for the year, which is subject to the approval of the members at the ensuing Annual General Meeting, and is in accordance with Section 123 of the Act, to the extent applicable.
- vi. Based on our examination, which included test checks, the Company has used two accounting software for maintaining its books of account, which have a feature of recording audit trail (edit log) facility and that has operated throughout the year for all relevant transactions recorded in the accounting software, except that the audit trail feature was not enabled at the database level to log any direct data changes. During the course of performing our procedures, except for the aforesaid instances of audit trail not enabled, where the question of our commenting on whether the audit trail feature has been tampered with does not arise, we did not notice any instance of audit trail feature being tampered with. Further, the audit trail, to the extent maintained in the prior year, has been preserved by the Company as per the statutory requirements for record retention.
16. The Company has paid/provided for managerial remuneration in accordance with the requisite approvals mandated by the provisions of Section 197 read with Schedule V to the Act.

For **Price Waterhouse & Co Chartered Accountants LLP**

Firm Registration Number: 304026E/E-300009

**Subramanian Vivek**

Partner

Membership Number: 100332

UDIN: 26100332RWDEKB6299

Mumbai

May 15, 2026

## ANNEXURE A TO INDEPENDENT AUDITOR'S REPORT

Referred to in paragraph 15(g) of the Independent Auditor's Report of even date to the members of Tata Steel Limited on the standalone financial statements as of and for the year ended March 31, 2026

### **Report on the Internal Financial Controls with reference to Standalone Financial Statements under clause (i) of sub-section 3 of Section 143 of the Act**

1. We have audited the internal financial controls with reference to standalone financial statements of Tata Steel Limited ("the Company") as of March 31, 2026 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

#### **Management's Responsibility for Internal Financial Controls**

2. The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting ("the Guidance Note") issued by the Institute of Chartered Accountants of India ("ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

#### **Auditor's Responsibility**

3. Our responsibility is to express an opinion on the Company's internal financial controls with reference to standalone financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing specified under Section 143(10) of the Act to the extent applicable to an audit of internal financial controls, both applicable to an audit of internal financial controls and both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan

and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to standalone financial statements was established and maintained and if such controls operated effectively in all material respects.

4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to standalone financial statements and their operating effectiveness. Our audit of internal financial controls with reference to standalone financial statements included obtaining an understanding of internal financial controls with reference to standalone financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.
5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system with reference to standalone financial statements.

#### **Meaning of Internal Financial Controls with reference to financial statements**

6. A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and

expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

### **Inherent Limitations of Internal Financial Controls with reference to financial statements**

7. Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

### **Opinion**

8. In our opinion, the Company has, in all material respects, adequate internal financial controls system with reference to standalone financial statements and such internal financial controls with reference to financial statements were operating effectively as at March 31, 2026, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note issued by ICAI.

For **Price Waterhouse & Co Chartered Accountants LLP**

Firm Registration Number: 304026E/E-300009

**Subramanian Vivek**

Partner

Membership Number: 100332

UDIN: 26100332RWDEKB6299

Mumbai

May 15, 2026

## ANNEXURE B TO INDEPENDENT AUDITOR'S REPORT

Referred to in paragraph 14 of the Independent Auditor's Report of even date to the members of Tata Steel Limited on the standalone financial statements as of and for the year ended March 31, 2026

In terms of the information and explanations sought by us and furnished by the Company, and the books of account and records examined by us during the course of our audit, and to the best of our knowledge and belief, we report that:

- i. (a) (A) The Company is maintaining proper records showing full particulars, including quantitative details and situation, of Property, plant and equipment.
- (B) The Company is maintaining proper records showing full particulars of Intangible Assets.
- (b) The Property, plant and equipment of the Company are physically verified by the Management according to a phased programme designed to cover all the items over a period of three years which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the programme, a portion of the Property, plant and equipment has been physically verified by the Management during the year, and no material discrepancies have been noticed on such verification.
- (c) The title deeds of all the immovable properties (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee), as disclosed in Note 3 on Property, plant and equipment and Note 4 on Right-of-use assets to the standalone financial statements, are held in the name of the Company (including erstwhile name), except for the following:

| Description of property | Gross carrying value<br>(₹ crores) | Held in the name of                                                                                          | Whether promoter, director or their relative or employee | Period held (i.e. dates of capitalisation provided in range)# | Reason for not being held in the name of the Company                                                               |
|-------------------------|------------------------------------|--------------------------------------------------------------------------------------------------------------|----------------------------------------------------------|---------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|
| Freehold Land           | 214.43                             | Not Applicable*                                                                                              | No                                                       | March, 1928 to April, 2022                                    | Title Deeds not available with the Company                                                                         |
| Buildings               | 134.01                             | Not Applicable*                                                                                              | No                                                       | January, 1960 to April 2022                                   | Title Deeds not available with the Company                                                                         |
| Freehold Land           | 11.32                              | Tata Steel BSL Limited                                                                                       | No                                                       | April, 2020                                                   | For certain properties acquired through amalgamation/merger, the name change in the name of the Company is pending |
| Freehold Land           | 122.12                             | Bhushan Steel Limited (earlier name of Tata Steel BSL Limited)                                               | No                                                       | April, 2020                                                   |                                                                                                                    |
| Freehold Land           | 1.92                               | Bhushan Steel & Strips Limited (earlier name of Tata Steel BSL Limited)                                      | No                                                       | April, 2020                                                   |                                                                                                                    |
| Freehold Land           | 124.78                             | Tata Steel Long Products Limited/Tata Sponge Iron Limited (earlier name of Tata Steel Long Products Limited) | No                                                       | April, 2022                                                   |                                                                                                                    |
| Freehold Land           | 71.21                              | Usha Martin Limited                                                                                          | No                                                       | April, 2022                                                   |                                                                                                                    |
| Freehold Land           | 0.12                               | Rawmet Ferrous Industries Private Limited                                                                    | No                                                       | April, 2023                                                   |                                                                                                                    |
| Freehold Land           | 0.57                               | Rohit Ferro Tech Limited                                                                                     | No                                                       | April, 2023                                                   |                                                                                                                    |
| Freehold Land           | 0.04                               | The Tinplate Company of India Limited                                                                        | No                                                       | April, 2022                                                   |                                                                                                                    |
| Freehold Land           | 6.21                               | Tata Metaliks Limited                                                                                        | No                                                       | April, 2022                                                   |                                                                                                                    |
| Freehold Land           | 0.45                               | Bharat Minex Private Limited                                                                                 | No                                                       | April, 2022                                                   |                                                                                                                    |
| Freehold Land           | 0.21                               | Chandrakali Devi                                                                                             | No                                                       | April, 2022                                                   |                                                                                                                    |
| Freehold Land           | 0.08                               | Bhagwan Singh                                                                                                | No                                                       | April, 2022                                                   |                                                                                                                    |
| Freehold Land           | 0.02                               | Premnath Prasad                                                                                              | No                                                       | April, 2022                                                   |                                                                                                                    |
| Freehold Land           | 0.07                               | Laljahari Devi                                                                                               | No                                                       | April, 2022                                                   |                                                                                                                    |

| Description of property | Gross carrying value<br>(₹ crores) | Held in the name of                                                                   | Whether promoter, director or their relative or employee | Period held (i.e. dates of capitalisation provided in range)# | Reason for not being held in the name of the Company                                                               |
|-------------------------|------------------------------------|---------------------------------------------------------------------------------------|----------------------------------------------------------|---------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|
| Freehold Land           | 0.08                               | Gopinath Pradhan                                                                      | No                                                       | April, 2022                                                   | For certain properties acquired through amalgamation/merger, the name change in the name of the Company is pending |
| Freehold Land           | 8.11                               | Bhubaneswar Power Private Limited                                                     | No                                                       | April, 2023                                                   |                                                                                                                    |
| Buildings               | 15.89                              | Tata SSL Limited                                                                      | No                                                       | January, 1989 to January, 1991                                |                                                                                                                    |
| Buildings               | 3.08                               | Indian Tube Company Limited                                                           | No                                                       | January, 1960                                                 |                                                                                                                    |
| Buildings               | 1.17                               | Tata Steel Mining Limited                                                             | No                                                       | April, 2023                                                   |                                                                                                                    |
| Buildings               | 0.71                               | Usha Martin Limited                                                                   | No                                                       | April, 2022                                                   |                                                                                                                    |
| Buildings               | 4.39                               | The Assam Company (India) Limited                                                     | No                                                       | January, 1997                                                 |                                                                                                                    |
| Right of Use - Land     | 9.02                               | Tata Steel BSL Limited                                                                | No                                                       | April, 2020                                                   |                                                                                                                    |
| Right of Use - Land     | 179.40                             | Bhushan Steel Limited (earlier name of Tata Steel BSL Limited)                        | No                                                       | April, 2020                                                   |                                                                                                                    |
| Right of Use - Land     | 139.93                             | Bhushan Steel & Strips Limited (earlier name of Tata Steel BSL Limited)               | No                                                       | April, 2020                                                   |                                                                                                                    |
| Right of Use - Land     | 3.28                               | Jawahar Metal Industries Private Limited (earlier name of Tata Steel BSL Limited)     | No                                                       | April, 2020                                                   |                                                                                                                    |
| Right of Use - Land     | 131.85                             | Tata Sponge Iron Limited (earlier name of Tata Steel Long Products Limited)           | No                                                       | April, 2022                                                   |                                                                                                                    |
| Right of Use - Land     | 2.36                               | Usha Martin Limited                                                                   | No                                                       | April, 2022                                                   |                                                                                                                    |
| Right of Use - Land     | 7.68                               | Rawmet Ferrous Industries Private Limited (earlier name of Tata Steel Mining Limited) | No                                                       | April, 2023                                                   |                                                                                                                    |
| Right of Use - Land     | 25.66                              | Rohit Ferro Tech Limited                                                              | No                                                       | April, 2023                                                   |                                                                                                                    |
| Right of Use - Land     | 25.60                              | Tata Metaliks Limited                                                                 | No                                                       | April, 2022 to May, 2023                                      |                                                                                                                    |
| Right of Use - Land     | 13.70                              | Bhubaneshwar Power Private Limited                                                    | No                                                       | April, 2023                                                   |                                                                                                                    |
| Right of Use - Land     | 27.27                              | Bhushan Energy Limited                                                                | No                                                       | April, 2023                                                   |                                                                                                                    |
| Right of Use - Land     | 1.85                               | Not Applicable*                                                                       | No                                                       | April, 2020 to July, 2025                                     |                                                                                                                    |
| Right of Use - Building | 56.83                              | Not Applicable*                                                                       | No                                                       | April, 2021                                                   |                                                                                                                    |

# Immovable properties acquired from entities merged with the Company have been considered with effect from the Appointed Date as was set out in the scheme.

\* Refer column "Reason for not being held in the name of the Company".

- (d) The Company has not revalued its Property, plant and equipment (including Right of Use assets) or Intangible Assets or both during the year. Consequently, the question of our commenting on whether the revaluation is based on the valuation by a Registered Valuer, or specifying the amount of change, if the change is 10% or more in the aggregate of the net carrying value of each class of Property, plant and equipment (including Right of Use assets) or Intangible Assets does not arise.
- (e) No proceedings have been initiated on or are pending against the Company for holding benami property under the Prohibition of Benami Property Transactions Act, 1988 (as amended in 2016) [formerly the Benami Transactions (Prohibition) Act, 1988 (45 of 1988)] and Rules made thereunder, and therefore the question of our commenting on whether the Company has appropriately disclosed the details in the standalone financial statements, does not arise.

- ii. (a) The physical verification of inventory (excluding stocks with third parties) has been conducted at reasonable intervals by the Management during the year and, in our opinion, the coverage and procedure of such verification by Management is appropriate. In respect of inventory lying with third parties, these have substantially been confirmed by them. In respect of inventories of stores and spares, the Management has a verification programme designed to cover the items over a period of three years. The discrepancies noticed on physical verification of inventory as compared to book records were not 10% or more in aggregate for each class of inventory.
- (b) During the year, the Company has been sanctioned working capital limits in excess of ₹5 crores, in aggregate, from banks on the basis of security of current assets. The Company has filed quarterly returns or statements with such banks, and the discrepancies noted in such quarterly return or statements with the books of account were trivial. Also, refer Note 17 to the standalone financial statements.
- iii. (a) The Company has, during the year, made investments\* in nine companies and twenty six mutual fund schemes, granted unsecured loans to two companies and forty five employees and stood guarantee for one company. The aggregate amount during the year, and balance outstanding at the balance sheet date with respect to such loans and guarantees to subsidiaries, joint ventures and to parties other than subsidiaries, joint ventures and associates are as per the table given below:

| Particulars                                                                        | Guarantees<br>(₹ crores) | Loans<br>(₹ crores) |
|------------------------------------------------------------------------------------|--------------------------|---------------------|
| Aggregate amount granted/provided during the year                                  |                          |                     |
| Subsidiaries                                                                       | -                        | 161.15              |
| Joint Ventures                                                                     | 82.59                    | -                   |
| Others                                                                             | -                        | 0.40                |
| Balance outstanding (gross) as at balance sheet date in respect of the above cases |                          |                     |
| Subsidiaries                                                                       | -                        | 81.15               |
| Joint Ventures                                                                     | 82.59                    | -                   |
| Others                                                                             | -                        | 0.30                |

\* During the year, investments made includes investment in two companies which has been converted from advance against equity to investment in equity shares.

The above amounts are included in Note 7 on Loans and Note 34(B) on Commitments to the standalone financial statements.

- (b) In respect of the aforesaid investments, guarantees and loans, the terms and conditions under which such loans were granted, investments were made and guarantees provided are not prejudicial to the Company's interest.
- (c) In respect of the loans outstanding as on the balance sheet date, the schedule of repayment of principal and payment of interest has been stipulated by the Company except for two loans aggregating ₹9.60 crores (fully provided in books) where no schedule of repayment of principal and payment of interest has been stipulated. Except for the aforesaid instances (where in the absence of stipulation of repayment/payment terms, we are unable to comment on the regularity of repayment of principal and payment of interest) and the following instance, the parties are repaying the principal amounts, as stipulated, and are also regular in payment of interest, as applicable.

| Name of the entity | Amount (₹ crores) | Due Date       | Extent of delay<br>(provided in range) | Remarks                                                                                                                                                                                                                                             |
|--------------------|-------------------|----------------|----------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Tayo Rolls Limited | 81.30             | Multiple Dates | 2,922 days– 3,517 days                 | The amounts pertain to principal and interest, which are overdue as at March 31, 2026. The entity is under corporate insolvency resolution process. The Company has filed its claim as financial creditor. The amounts are fully provided in books. |

- (d) In respect of the following loans, the total amount overdue for more than ninety days as at March 31, 2026 is ₹81.30 crores. Based on the information and explanations given to us, the entity is under corporate insolvency resolution process and accordingly, the Company is not taking any further steps for the recovery of the principal and interest amounts, other than those mentioned in clause (iii)(c) above against Tayo Rolls Limited.

| No. of cases | Principal Amount Overdue (₹ crores) | Interest Overdue (₹ crores) | Total Overdue (₹ crores) | Remarks                                 |
|--------------|-------------------------------------|-----------------------------|--------------------------|-----------------------------------------|
| One          | 67.00                               | 14.30                       | 81.30                    | The amounts are fully provided in books |

- (e) Following loan (including interest) were granted to same party, which has fallen due during the year and were renewed/extended. Further, no fresh loans were granted to same parties to settle the existing overdue loans.

| Name of the party                 | Aggregate amount of loan renewed or extended (₹ crores) | Percentage of the aggregate to the total loans granted during the year |
|-----------------------------------|---------------------------------------------------------|------------------------------------------------------------------------|
| Subarnarekha Port Private Limited | 50.95                                                   | 31.54%                                                                 |

The above amounts are included in Note 7 on Loans to the standalone financial statements.

- (f) The loans granted during the year, including to related parties had stipulated the scheduled repayment of principal and payment of interest and the same were not repayable on demand. No loans were granted during the year to promoters.
- iv. In our opinion, the Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013 in respect of the loans and investments made, and guarantees and security provided by it, as applicable.
- v. The Company has not accepted any deposits or amounts which are deemed to be deposits referred in Sections 73, 74, 75 and 76 of the Act and the Rules framed there under. Accordingly, the reporting under clause 3(v) of the Order is not applicable to the Company.
- vi. Pursuant to the rules made by the Central Government of India, the Company is required to maintain cost records as specified under Section 148(1) of the Act in respect of its products and services. We have broadly reviewed the books of account maintained by the Company pursuant to the said requirement, and are of the opinion that, prima facie, the prescribed accounts and records have been made and maintained. We have not, however, made a detailed examination of the records with a view to determine whether they are accurate or complete.
- vii. (a) In our opinion, except for the dues in respect of royalty, the Company is generally regular in depositing undisputed statutory dues in respect of provident fund, labour welfare fund and electricity duty, though there has been a slight delay in a few cases, and is regular in depositing undisputed statutory dues, including employees' state insurance, sales tax, income tax, service tax, duty of customs, duty of excise, value added tax, cess, goods and services tax and other statutory dues, as applicable, with the appropriate authorities. We are informed that the Company has applied for exemption from operation of Employees' State Insurance Act at some locations. We are also informed that actions taken by the authorities at some locations to bring the employees of the Company under the Employees' State Insurance Scheme has been contested by the Company and payment has not been made of the contribution demanded. The extent of the arrears of statutory dues outstanding as at March 31, 2026, for a period of more than six months from the date they became payable are as follows:

| Name of the statute                                                     | Nature of dues                                                       | Amount (₹ crores) | Period to which the amount relates | Due date                       | Date of Payment | Remarks, if any                                |
|-------------------------------------------------------------------------|----------------------------------------------------------------------|-------------------|------------------------------------|--------------------------------|-----------------|------------------------------------------------|
| The Mines and Minerals (Development and Regulation) Amendment Act, 2021 | Royalty                                                              | 2,579.38          | March, 2021 to March, 2024         | Various dates till March, 2024 | Not yet paid    | Additional royalty for sale to group companies |
|                                                                         | Performance Security for shortfall in minimum Production Requirement | 84.00             | June, 2019 to March, 2025          | Various dates till March, 2025 | Not yet paid    | Shortfall in production as per MDPA            |

- (b) The particulars of statutory dues referred to in sub-clause (a) as at March 31, 2026 which have not been deposited on account of a dispute, are as follows:

| Name of the statute                | Nature of dues           | Amount (net of payments)<br>(₹ crores) | Amount paid<br>(₹ crores) | Period to which the amount relates                                                                            | Forum where the dispute is pending                           |
|------------------------------------|--------------------------|----------------------------------------|---------------------------|---------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------|
| Income Tax Act, 1961               | Income Tax               | 1,827.93                               | 1,246.36                  | 1998-99, 2006-07, 2007-08, 2008-09, 2009-10, 2010-11, 2011-12, 2013-14, 2015-16, 2016-17, 2018-19 and 2021-22 | Tribunal                                                     |
|                                    |                          | 383.56                                 | 125.70                    | 2013-14, 2014-15, 2015-16, 2016-17, 2017-18, 2019-20 and 2022-23                                              | CIT Appeals                                                  |
|                                    |                          | 3.76                                   | 0.56                      | 2014-15, 2017-18 and 2019-20                                                                                  | Deputy Commissioner/<br>Assistant Commissioner of Income Tax |
| Customs Act, 1962                  | Customs duty             | 0.01                                   | -                         | 2014-15 to 2018-19                                                                                            | Assistant Commissioner                                       |
|                                    |                          | 10.71                                  | 0.18                      | 2017-18 to 2021-22                                                                                            | Commissioner                                                 |
|                                    |                          | 15.98                                  | 2.30                      | 1984-85, 1993-94, 2002-03, 2017-18                                                                            | High Court                                                   |
|                                    |                          | 3.73                                   | 0.22                      | 2005-06 to 2008-09                                                                                            | Supreme Court                                                |
|                                    |                          | 123.14                                 | 15.07                     | 2008-09 to 2019-20                                                                                            | Tribunal                                                     |
| Bihar Electricity Duty Act, 1948   | Electricity Duty         | 0.17                                   | -                         | 1996-97 to 2000-01                                                                                            | Assistant Commissioner                                       |
|                                    |                          | 22.39                                  | -                         | 2003-04 to 2010-11, 2012-13, 2016-17                                                                          | Deputy Commissioner                                          |
|                                    |                          | 6.33                                   | -                         | 2011-12 to 2015-16                                                                                            | High Court                                                   |
|                                    |                          | 0.30                                   | -                         | 2004-05 to 2007-08                                                                                            | Tribunal                                                     |
| Employee State Insurance Act, 1948 | Employee State Insurance | 29.49                                  | -                         | 1996-97 to 2003-04, 2005-06 to 2009-10, 2017-18 to 2021-22                                                    | High Court                                                   |
| Entry Tax Laws                     | Entry Tax                | 1.98                                   | 0.27                      | 2007-08 to 2010-11, 2014-15                                                                                   | Additional Commissioner                                      |
|                                    |                          | 4.20                                   | -                         | 2002-03, 2008-09, 2011-12                                                                                     | Assessing Officer                                            |
|                                    |                          | 0.37                                   | -                         | 2015-16 to 2020-21                                                                                            | Assistant Commissioner                                       |
|                                    |                          | 0.65                                   | 0.56                      | 2001-02, 2005-06 to 2006-07                                                                                   | Deputy Commissioner                                          |
|                                    |                          | 7.07                                   | 0.53                      | 2000-01 to 2002-03, 2005-06 to 2010-11, 2014-15                                                               | High Court                                                   |
|                                    |                          | 0.11                                   | 0.24                      | 2008-09 to 2011-12                                                                                            | Joint Commissioner                                           |
|                                    |                          | 1.19                                   | 1.21                      | 2007-08 to 2010-11                                                                                            | Tribunal                                                     |
|                                    |                          |                                        |                           |                                                                                                               |                                                              |

| Name of the statute                                      | Nature of dues               | Amount (net of payments)<br>(₹ crores) | Amount paid<br>(₹ crores) | Period to which the amount relates                                  | Forum where the dispute is pending          |
|----------------------------------------------------------|------------------------------|----------------------------------------|---------------------------|---------------------------------------------------------------------|---------------------------------------------|
| Mines and Mineral (Development and Regulation) Act, 1957 | Excess Mining /Common Cause  | 59.40                                  | 45.10                     | 2000-01 to 2010-11                                                  | Additional Chief Secretary, Steel & Mines   |
|                                                          |                              | 2,994.49                               | 573.83                    | 2011-12 to 2014-15                                                  | High Court                                  |
|                                                          |                              | 2,140.30                               | -                         | 2000-01 to 2016-17                                                  | Revisional Authority, Ministry of Mines     |
|                                                          |                              | 234.74                                 | -                         | 2001-02 to 2010-11                                                  | Additional Secretary, Steel & Mines         |
| Central Excise Act, 1944                                 | Excise Duty                  | 0.58                                   | -                         | 2014-15                                                             | Additional Commissioner                     |
|                                                          |                              | 0.09                                   | -                         | 2010-11 to 2011-12                                                  | Assistant Commissioner                      |
|                                                          |                              | 52.88                                  | 7.34                      | 1988-89, 2004-05, 2009-10, 2011-12, 2013-14 to 2017-18              | Commissioner                                |
|                                                          |                              | 0.50                                   | -                         | 1994-95 to 1997-98, 2016-17 to 2017-18                              | Deputy Commissioner                         |
|                                                          |                              | 284.75                                 | 0.10                      | 1989-90, 2003-04 to 2017-18                                         | High Court                                  |
|                                                          |                              | 2.24                                   | 1.07                      | 2010-11, 2016-17                                                    | Joint Commissioner                          |
|                                                          |                              | 449.15                                 | 34.65                     | 2002-03 to 2017-18                                                  | Tribunal                                    |
| Goods & Services Tax Act, 2017                           | Goods & Service Tax          | 75.61                                  | 1.20                      | 2017-18 to 2022-23                                                  | Additional Commissioner                     |
|                                                          |                              | 2.48                                   | -                         | 2019-20                                                             | Adjudicating Officer                        |
|                                                          |                              | 43.67                                  | 1.96                      | 2017-18 to 2022-23                                                  | Assistant Commissioner                      |
|                                                          |                              | 185.64                                 | 5.66                      | 2017-18 to 2021-22                                                  | Commissioner                                |
|                                                          |                              | 72.88                                  | 1.97                      | 2017-18 to 2023-24                                                  | Deputy Commissioner                         |
|                                                          |                              | 6.08                                   | 2.30                      | 2017-18, 2020-21                                                    | Joint Commissioner                          |
|                                                          |                              | 0.40                                   | -                         | 2018-19 to 2021-22                                                  | Superintendent                              |
|                                                          |                              | 2,987.90                               | -                         | 2018-19 to 2022-23                                                  | High Court                                  |
| Labour Laws                                              | Labour Related               | 0.23                                   | -                         | 2015-16                                                             | High Court                                  |
|                                                          |                              | 0.05                                   | -                         | 2011-12                                                             | Presiding Officer, Labour Court, Jamshedpur |
| Jharkhand Mineral Area Development Authority Act, 2000   | Mineral Area Development Fee | 58.51                                  | 18.00                     | 2005-06 to 2006-07, 2008-09 to 2009-10, 2011-12 to 2013-14, 2016-17 | High Court                                  |
|                                                          |                              | 8.23                                   | -                         | 1992-93 to 1994-95, 2005-06                                         | Supreme Court                               |

| Name of the statute                                                                   | Nature of dues      | Amount (net of payments)<br>(₹ crores) | Amount paid<br>(₹ crores) | Period to which the amount relates                                                               | Forum where the dispute is pending      |
|---------------------------------------------------------------------------------------|---------------------|----------------------------------------|---------------------------|--------------------------------------------------------------------------------------------------|-----------------------------------------|
| Minerals (Other than Atomic and Hydro Carbons Energy Mineral) Concession Rules - 2016 | Royalty on Minerals | 4,313.62                               | -                         | 2023-24 to 2025-26                                                                               | High Court*                             |
|                                                                                       |                     | 597.69                                 | 218.50                    | 2020-21 to 2021-22                                                                               | High Court                              |
| Employees Provident Fund & Miscellaneous Provisions Act, 1952                         | Provident Fund      | -                                      | 1.02                      | 1997-98                                                                                          | High Court                              |
| Mineral Concession Rules, 1960                                                        | Royalty on Minerals | 408.48                                 | 2.60                      | 2009-10 to 2014-15                                                                               | Mines Tribunal                          |
|                                                                                       |                     | 1,366.78                               | 1,333.41                  | 2000-01 to 2007-08                                                                               | Supreme Court                           |
|                                                                                       |                     | 54.71                                  | -                         | 2008-09 to 2010-11                                                                               | Revisional Authority, Ministry of Mines |
| Sales Tax Laws                                                                        | Sales Tax           | 27.14                                  | 2.36                      | 1983-84, 2002-03, 2012-13                                                                        | Additional Commissioner                 |
|                                                                                       |                     | 30.68                                  | 2.85                      | 1973-74, 1980-81 to 1991-92, 1994-95 to 1996-97, 2004-05, 2007-08, 2014-15 to 2017-18            | Assistant Commissioner                  |
|                                                                                       |                     | 211.02                                 | 3.80                      | 1988-89 to 1989-90, 1991-92, 2001-02 to 2004-05, 2012-13 to 2013-14                              | Commissioner                            |
|                                                                                       |                     | 45.55                                  | 0.54                      | 1975-76, 1985-86 to 1987-88, 1997-98 to 2001-02, 2008-09, 2011-12 to 2014-15, 2016-17 to 2017-18 | Deputy Commissioner                     |
|                                                                                       |                     | 10.01                                  | 1.23                      | 1977-78 to 1978-79, 1983-84, 1991-92 to 1992-93, 1995-96 to 1996-97, 2000-01, 2008-09            | High Court                              |
|                                                                                       |                     | 71.66                                  | 0.57                      | 1979-80, 2003-04, 2006-07, 2008-09 to 2009-10, 2012-13 to 2014-15, 2016-17 to 2017-18            | Joint Commissioner                      |
|                                                                                       |                     |                                        |                           |                                                                                                  |                                         |

| Name of the statute    | Nature of dues  | Amount (net of payments)<br>(₹ crores) | Amount paid<br>(₹ crores) | Period to which the amount relates                                                           | Forum where the dispute is pending |
|------------------------|-----------------|----------------------------------------|---------------------------|----------------------------------------------------------------------------------------------|------------------------------------|
| Sales Tax Laws         | Sales Tax       | 0.41                                   | 0.19                      | 1983-84, 1988-89, 1990-91, 1992-93, 1994-95 to 1995-96                                       | Sales Tax Officer                  |
|                        |                 | 11.18                                  | 4.93                      | 1977-78, 1984-85, 1987-88, 1989-90 to 1998-99, 2001-02, 2003-04 to 2009-10, 2012-13, 2015-16 | Tribunal                           |
|                        | Sales Tax (VAT) | 2.76                                   | 0.47                      | 2005-06, 2012-13 to 2016-17                                                                  | Additional Commissioner            |
|                        |                 | 0.45                                   | 0.09                      | 2005-06 to 2006-07, 2017-18                                                                  | Assistant Commissioner             |
|                        |                 | 19.71                                  | 0.08                      | 2006-07 to 2011-12, 2014-15, 2016-17 to 2017-18                                              | Commissioner                       |
|                        |                 | 34.64                                  | 0.13                      | 2006-07, 2010-11 to 2011-12, 2013-14                                                         | Deputy Commissioner                |
|                        |                 | 265.50                                 | 1.07                      | 2001-02, 2003-04, 2007-08, 2010-11, 2012-13 to 2015-16                                       | High Court                         |
|                        |                 | 4.17                                   | -                         | 2015-16 to 2017-18                                                                           | Joint Commissioner                 |
|                        |                 | 2.75                                   | 0.93                      | 2005-06 to 2006-07, 2008-09, 2013-14 to 2015-16, 2017-18                                     | Tribunal                           |
| Service Tax Laws       | Service tax     | 0.88                                   | -                         | 2005-06 to 2010-11                                                                           | Additional Commissioner            |
|                        |                 | 1.88                                   | 0.03                      | 2010-11 to 2017-18                                                                           | Assistant Commissioner             |
|                        |                 | 10.13                                  | 0.13                      | 2004-05 to 2007-08, 2010-11 to 2017-18                                                       | Commissioner                       |
|                        |                 | 0.30                                   | -                         | 2010-11                                                                                      | High Court                         |
|                        |                 | 3.14                                   | 0.17                      | 2016-17 to 2017-18                                                                           | Joint Commissioner                 |
|                        |                 | 171.60                                 | 6.68                      | 2001-02 to 2009-10, 2011-12 to 2016-17                                                       | Tribunal                           |
| Indian Stamp Act, 1899 | Stamp Duty      | 5,439.69                               | 414.00                    | 2013-14, 2015-16, 2020-21, 2023-24                                                           | High Court                         |
| State Water Tax Laws   | Water Tax       | 239.81                                 | 35.00                     | 1980-81 to 1993-94, 1995-96 to 2022-23                                                       | High Court                         |

\*The demand has been subsequently quashed by the Hon'ble High Court of Orissa vide order dated April 20, 2026. [Refer note (b)(iii) of Other taxes, dues and claims under note 34(A) to the standalone financial statements].

The following matters have been decided in favour of the Company although the department has preferred appeal at higher levels:

| Name of the statute      | Nature of dues | Amount (net of payments) (₹ crores) | Amount Paid (₹ crores) | Period to which the amount relates | Forum where the dispute is pending |
|--------------------------|----------------|-------------------------------------|------------------------|------------------------------------|------------------------------------|
| Customs Act, 1962        | Customs Duty   | 129.67                              | -                      | 2005-06 to 2007-08                 | High Court                         |
| Central Excise Act, 1944 | Excise Duty    | 235.48                              | -                      | 2004-05                            | Supreme Court                      |
|                          |                | 16.34                               | -                      | 2009-10                            | Tribunal                           |
|                          |                | 26.84                               | -                      | 2006-07 to 2008-09                 | Commissioner                       |

- viii. There are no transactions previously unrecorded in the books of account that have been surrendered or disclosed as income during the year in the tax assessments under the Income-tax Act, 1961.
- ix. (a) The Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender during the year.
- (b) On the basis of our audit procedures, we report that the Company has not been declared Wilful Defaulter by any bank or financial institution or government or any government authority.
- (c) In our opinion, the term loans have been applied, on an overall basis, for the purposes for which they were obtained.
- (d) According to the information and explanations given to us, and the procedures performed by us, and on an overall examination of the standalone financial statements of the Company, we report that no funds raised on short-term basis have been utilised for long-term purposes by the Company.
- (e) On an overall examination of the standalone financial statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures.
- (f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies.
- x. (a) The Company has not raised any money by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, the reporting under clause 3(x)(a) of the Order is not applicable to the Company.
- (b) The Company has not made any preferential allotment or private placement of shares or fully or partially or optionally convertible debentures during the year. Accordingly, the reporting under clause 3(x)(b) of the Order is not applicable to the Company.
- xi. (a) During the course of our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India, we have neither come across any instance of material fraud by the Company or on the Company, noticed or reported during the year, nor have we been informed of any such case by the Management.
- (b) During the course of our examination of the books and records of the Company carried out in accordance with the generally accepted auditing practices in India, a report under Section 143(12) of the Act, in Form ADT-4, as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 was not required to be filed by us, as statutory auditors, with the Central Government. Further, no such report has been filed by any other auditor appointed by the Company under the Act. Accordingly, the reporting under clause 3(xi)(b) of the Order is not applicable to the Company.
- (c) During the course of our examination of the books and records of the Company carried out in accordance with the generally accepted auditing practices in India, the Company has received whistle-blower complaints during the year, which have been considered by us for any bearing on our audit and reporting under this clause. As explained by the management, there were certain complaints in respect of which investigations are ongoing as on the date of our report and our consideration of the complaints having any bearing on our audit is based on the information furnished to us by the management.